

State of the Economy*

Geopolitical tensions and trade disruptions persisted, despite the recent interim peace deal in West Asia. Amidst the challenging global environment, the Indian economy grew at 7.8 per cent in Q4:2025-26, supported by private consumption and fixed investment. High-frequency indicators during the first two months suggest sustained economic momentum in 2026-27. Despite a pick-up in May, CPI-inflation remained anchored. India's external sector remained resilient, supported by FDI inflows and adequate foreign exchange reserves.

Introduction

Geopolitical tensions and trade disruptions have been testing the resilience of the global economy. Extended supply-side pressures have led to sustained rise in commodity prices and broader inflationary expectations till early June. In the backdrop of geopolitical tensions in West Asia, the World Bank in its latest report¹ downgraded the global gross domestic product (GDP) growth projections, while raising its inflation projections. Even so, the recent de-escalation of West Asia tensions and the interim peace deal between the US and Iran, signed in the third week of June, have provided a vital opening towards normalisation.

Global Purchasing Managers' Index (PMI) saw a widespread moderation across major economies in May. However, with anticipated opening of the Strait of Hormuz and gradual restoration of supply chains,

crude oil prices have exhibited significant correction in June so far. Taking cues from developments in West Asia, US Treasury yields softened amidst easing inflationary concerns, after remaining elevated till early June. Emerging market bond spreads and risk sentiment fluctuated, reflecting the uncertainties. Equity markets gained on the back of strong AI and technology sector and progress in the negotiations.

The Indian economy displayed strength in terms of the provisional GDP estimates for 2025-26. GDP growth during Q4:2025-26 remained robust at 7.8 per cent, driven by private consumption and fixed investment. High-frequency indicators point towards sustained economic activity in May. Domestic demand conditions remained resilient, supported by urban demand. According to the revised series of the Index of Industrial Production (IIP), industrial growth strengthened in April, driven by the manufacturing sector.

Merchandise trade deficit largely remained unchanged in May 2026 over the previous month but widened year on year mainly on account of higher crude oil prices.

Consumer price index (CPI) inflation increased in May 2026 to 3.9 per cent from 3.5 per cent in previous month, driven by broad-based increases across food, fuel and core components. The rise in transport fuel prices reflects the latest adjustment of retail prices by oil marketing companies. Core inflation (CPI excluding food and fuel) also edged up.

The Monetary Policy Committee in its bi-monthly review of June 2026, unanimously decided to keep the policy repo rate unchanged at 5.25 per cent and retained a "neutral" stance while waiting for more clarity on the West Asia conflict situation and the risks from a likely sub-normal south-west monsoon and *El Niño* event.²

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¹ Global Economic Prospects, June 2026.

² Monetary Policy Statement, 2026-27 Resolution of the Monetary Policy Committee June, 2026.

The provisional accounts of the Central Government for 2025-26 strengthened the credibility of Centre's fiscal consolidation path, with the gross fiscal deficit (GFD) at 4.4 per cent of GDP. The deficit indicators of the states, however, worsened modestly.

Surplus liquidity in the banking system moderated in the second half of May and June so far, reflecting an increase in currency in circulation and elevated government cash balances. The weighted average call rate (WACR) edged up and remained in the upper half of the policy corridor. The yields on 91-day treasury bills, 3-month commercial papers (CPs) and certificates of deposit (CDs) moderated after firming up in May. G-sec yields softened, supported by measures announced by the Government and the Reserve Bank to attract foreign capital. Corporate bond yields also eased, although the spreads generally widened.

The total financial resource flows increased during 2026-27 (up to May 31), over the corresponding period of the previous year, driven by a pickup in non-food bank credit and rise in foreign direct investment (FDI) to India. The bank credit growth picked up further in May 2026. The policy rate transmission in the credit market moderated during March-April, with some hardening in deposit and lending rates.

Indian equity markets weakened till early June due to concerns over West Asia conflict, before witnessing recovery on news related to US-Iran interim peace agreement. India's external sector continues to exhibit resilience in terms of contained current account deficit and foreign exchange reserve buffers.

Among capital flows, FDI inflows gained strength, while foreign portfolio investment (FPI) recorded net outflows since March 2026. Recent policy measures, including the expansion of the Fully Accessible Route (FAR) to longer-tenor government securities and tax

exemptions for foreign investors in government securities, are expected to strengthen demand for Indian sovereign debt and support capital inflows.

The remainder of the article is presented in four sections. Section II covers the evolving developments in the global economy. Section III provides an assessment of domestic macroeconomic conditions. Section IV presents the financial conditions prevailing in India, while Section V offers concluding observations.

II. Global Section

In the backdrop of geopolitical tensions in West Asia, the World Bank, in its latest Global Economic Prospects, has projected the global growth to slowdown in 2026 with recovery expected in 2027 (Table II.1). While risks to the outlook remain skewed to the downside, wider adoption of AI and productivity-enhancing reforms could support medium-term growth. The recent de-escalation of West Asia tensions and the interim peace deal between the US and Iran, signed in the third week of June, have provided a vital opening towards normalisation of the situation in West Asia.

The global macroeconomic environment remained fragile. While the emerging economy equity markets faced a rise in volatility, advanced economies like the US and Europe reflected improved confidence and a fall in risk premia. The interim peace deal in West Asia eased concerns over energy supply disruptions (Chart II.1a and b).

The global composite PMI remained in the expansionary zone and maintained its value in May over April, partly driven by front-loading of demand for inventory keeping in view expected price rises and supply disruption. The manufacturing sector outperformed services for the third consecutive month with the rise in production volumes across

Table II.1: World Bank: GDP Growth Projections of Select AEs and EMDEs

Projection for	2026		2027	
Month of Projection	January 2026	June 2026	January 2026	June 2026
World*	3.2	2.9	3.3	3.4
Advanced Economies (AEs)	1.6	1.5	1.6	1.8
US	2.2	2.2	1.9	2.1
Euro area	0.9	0.8	1.2	1.3
Japan	0.8	0.7	0.8	0.9
Emerging Market and Developing Economies (EMDEs)	4.0	3.6	4.1	4.2
Russia	0.8	0.8	1.0	0.7
India [#]	6.5	6.6	6.6	7.2
China	4.4	4.2	4.2	4.3
Latin America and the Caribbean	2.3	2.2	2.6	2.5
Mexico	1.3	1.3	1.8	1.7
Brazil	2.0	1.9	2.3	2.0
Middle East and North Africa	4.3	1.6	4.3	5.0
Saudi Arabia	4.3	3.1	4.4	4.9
Sub-Saharan Africa	4.3	4.0	4.5	4.4
South Africa	1.4	1.0	1.5	1.5

Notes: 1. *: Projections by the World Bank are PPP weighted.

2. #: India's data is on a fiscal year basis (April-March), while for all other countries it is for calendar years.

Source: Global Economic Prospects, World Bank, June 2026.

the consumer, intermediate and investment goods industries. International trade flows, however, continued to decline, with new export orders contracting for the third month in a row (Table II.2).

Business expectations varied across major advanced economies (AEs) and emerging markets and developing economies (EMDEs). Among major AEs, the composite PMI expanded in the US and Japan, while it contracted in Euro area and the UK (Charts II.2a). Within EMDEs, business activity continued to expand in India and China. New export orders, however, continued to moderate in May. Major AEs, except Japan and the UK, recorded a contraction in export orders. A dip in export orders was also observed in major EMDEs except India (Chart II.2b).

Despite sustained supply chain pressures, the World Bank Commodity Price Index softened in May due to decline in Brent crude oil prices from its highly elevated levels in April. Brent crude oil prices sharply corrected to below US\$ 80 after the announcement of West Asia peace deal in the third week of June. The FAO food price index remained stable, as the increase

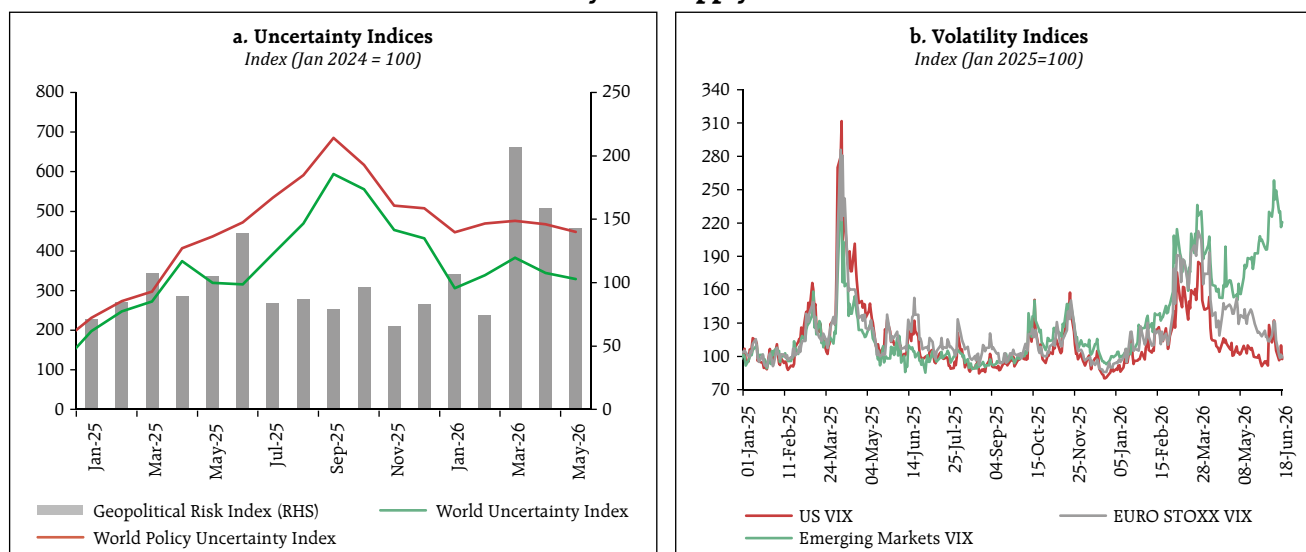
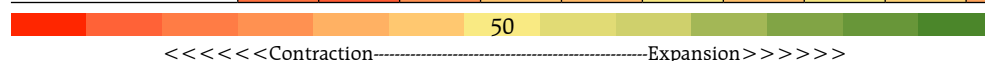
Chart II.1: Global Uncertainty and Supply Chain Pressures Moderated

Table II.2: Global Purchasing Managers' Index

	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
PMI Composite	50.8	51.2	51.7	52.5	52.9	52.5	53	52.7	52	52.5	53.3	51.0	51.8	51.8
PMI Manufacturing	49.8	49.5	50.4	49.7	50.9	50.7	50.9	50.5	50.4	50.9	51.8	51.3	52.6	52.6
PMI Services	50.8	52	51.8	53.5	53.3	52.9	53.5	53.2	52.4	52.8	53.4	50.8	51.2	51.3
PMI Export Orders	47.5	48.0	49.1	48.5	48.9	49.7	48.5	49.9	49.3	49.7	51.2	49.6	49.6	48.9
PMI Export Orders: Manufacturing	47.3	48.0	49.2	48.2	48.7	49.5	48.3	49.9	49.1	49.9	51.4	50.0	50.2	49.6
PMI Export Orders: Services	48.2	47.9	48.7	49.4	49.3	50.2	49.4	50.2	49.6	48.9	50.5	48.3	47.6	46.6



Notes: 1. The Purchasing Managers' Index (PMI), a diffusion index, captures the change in each variable compared to the prior month, noting whether each has risen/improved, fallen/deteriorated or remained unchanged. A PMI value >50 denote expansion; <50 denote contraction; and =50 denote 'no change'.

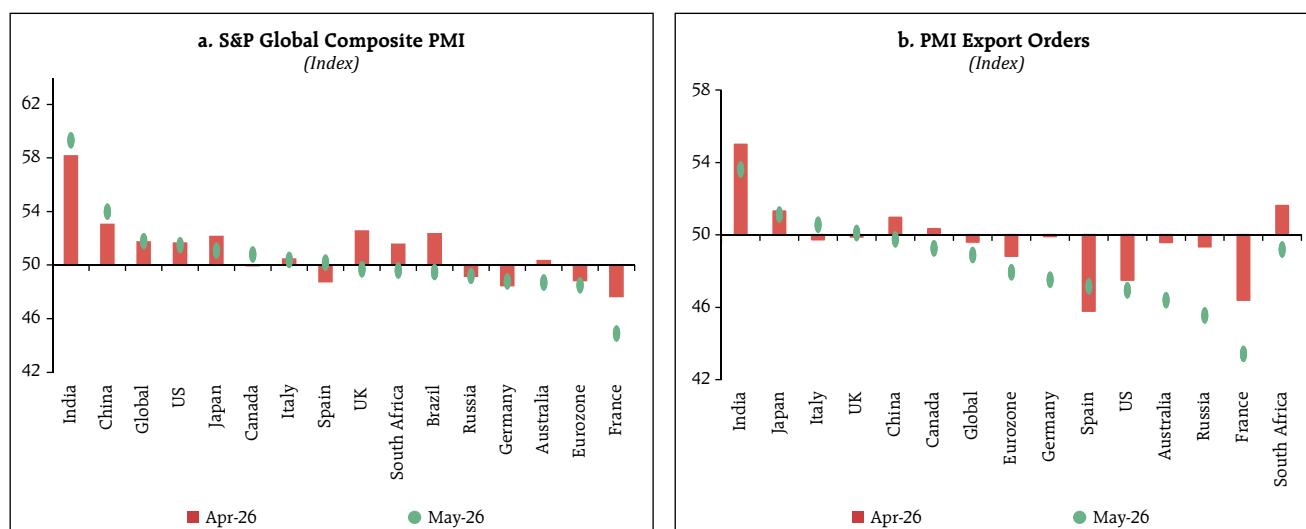
2. Heat map is applied on data from April 2023 onwards. The map is colour coded—red denotes the lowest value, yellow denotes 50 (or the no change value), and green denotes the highest value in each of the PMI series.

Source: S&P Global.

in price of cereals and sugar was offset by declines in vegetable oils and dairy products (Chart II.3a). The Bloomberg Commodity Index remained volatile in early May, before falling in the latter part of the month and early June. The correction was driven by moderation in prices of agricultural commodities, energy and precious metals. Gold prices extended their decline in June so far, as sustained selling pressure was reinforced by expectations of monetary

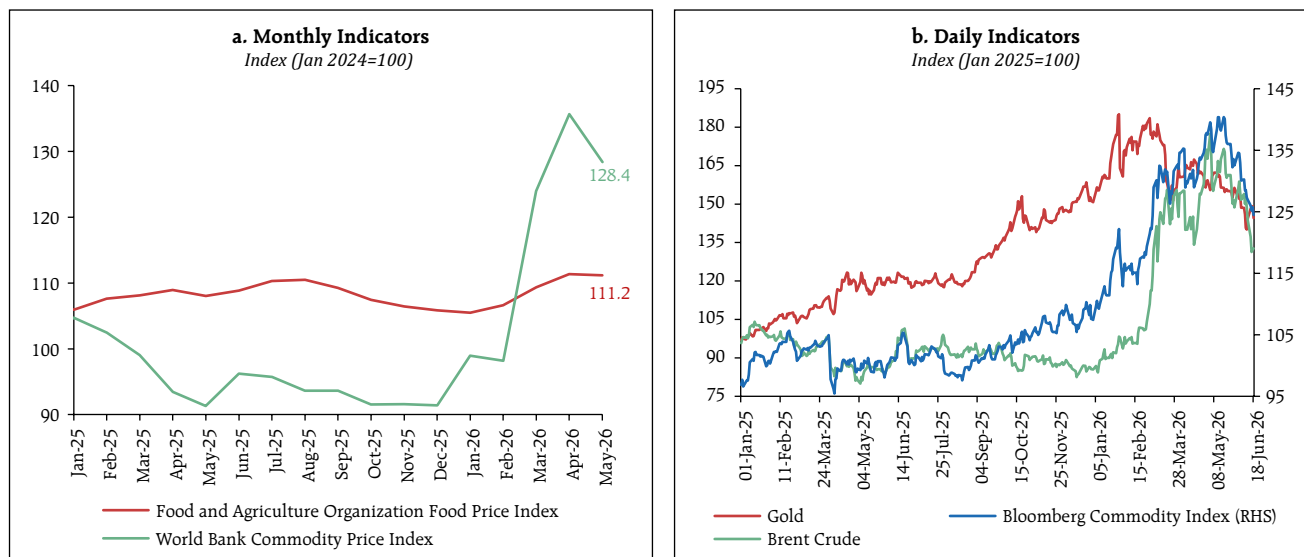
policy tightening by the major central banks (Chart II.3b).

The aluminium prices surged to its highest level since March 2022 in the first week of June but retreated subsequently. Gasoline and jet fuel prices softened from their conflict peaks with interim peace deal. The urea prices corrected sharply back to pre-war levels due to easing of export restrictions in China and reduced demand from major importing

Chart II.2: Purchasing Managers' Index: Comparison across Jurisdictions

Note: A level of 50 indicates no change in activity, while a reading above 50 signals expansion and below 50 suggests contraction.

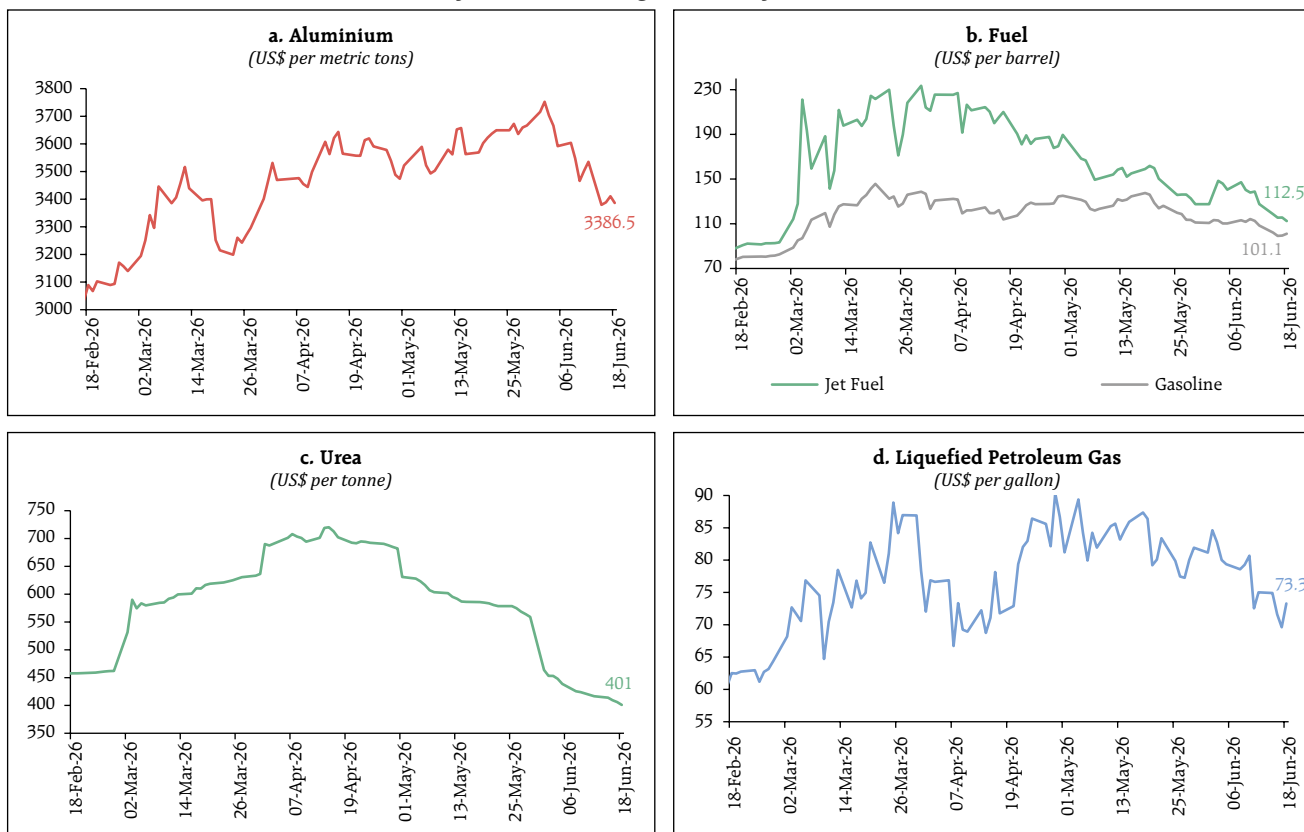
Source: S&P Global.

Chart II.3: Commodity/ Food Prices Moderated

Sources: Food and Agriculture Organization; Bloomberg; and World Bank Pink Sheet.

countries at the end of the spring planting season. Liquefied petroleum gas (LPG) prices also declined in

June after a surge in mid-May amidst the improving US inventory levels (Chart II.4).

Chart II.4: Commodity Prices Barring Urea Stayed Above Pre-Conflict Levels

Note: The data refer to the following benchmark contracts and price indices: LME Aluminium 3-month futures; Singapore Jet Kerosene and Singapore Gasoline spot prices; Urea US Gulf futures; and Mont Belvieu Propane Fixed Price futures (LPG).

Source: Bloomberg.

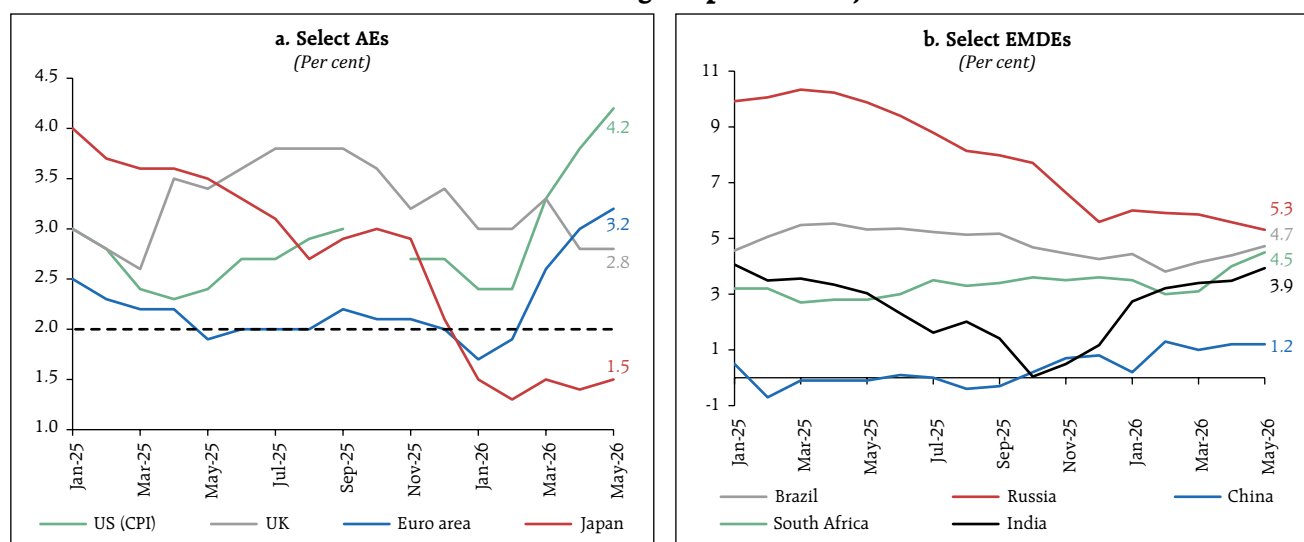
In May, headline inflation generally edged up across major AEs and EMDEs. Among major AEs, inflation in the US surged to its highest level in three years, driven by a sharp increase in fuel prices. In the Euro area also, headline inflation rose led by energy and services. In Japan, inflation witnessed an uptick after the expiration of government fuel subsidy, while it remained steady in the UK due to moderation in food inflation which was offset by the rise in transport costs (Chart II.5a). EMDEs, in general, saw rising inflation concerns. In Brazil, food and beverages pushed up inflation, whereas in South Africa it was driven by fuel. Inflation, however, declined in Russia largely on account of fall in food prices while it remained steady in China (Chart II.5b).

Equity markets gained in May led by tech stocks and growing optimism of diplomatic breakthrough in West Asia. It was, however, followed by pull backs in the beginning of June amidst concerns over the overvaluation of tech stocks and strong non-farm payroll data in the US moderating the probability of monetary accommodations. Markets recovered in mid-June after the US-Iran peace deal announcement, supported by lower oil prices, and renewed risk appetite. A strong first-quarter corporate

earnings and hopes of progress in ceasefire talks sustained the equity market sentiments in the US. However, major equity indices slipped with the hawkish Fed statement. Euro area stocks remained broadly stable on the back of higher sensitivity to energy prices and subdued investor sentiment. Japanese equities edged higher, driven by AI and semiconductor-related stocks. Emerging market equity performance was driven primarily by a few Asian technology heavy markets (Chart II.6a). Technology stocks have been the primary driver of the S&P 500, substantially outshining other sectors in recent times (Chart II.6b).

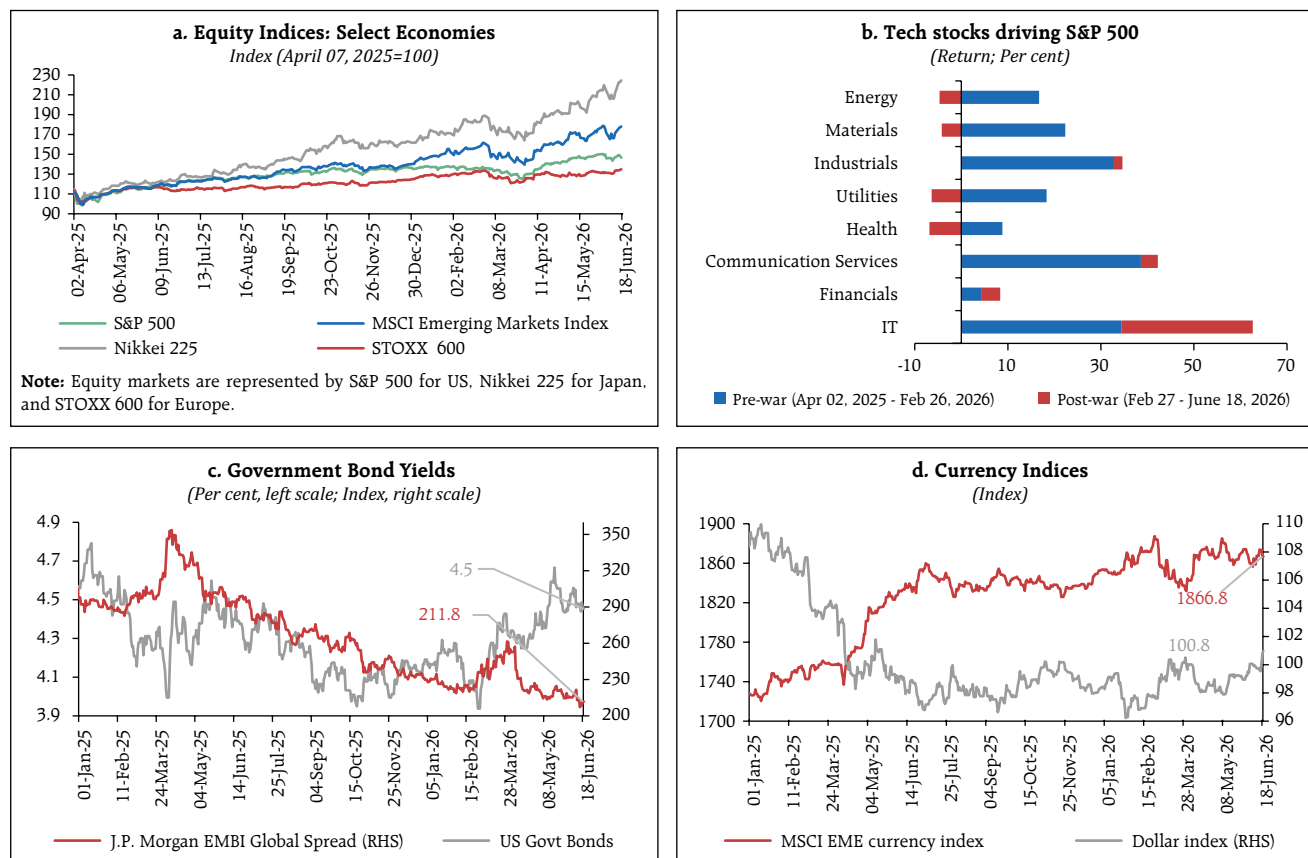
The 10-year US treasury yield hardened in May due to inflationary concerns and diminishing rate cut expectations. However, it remained range-bound in mid-June on easing geopolitical tensions and moderating energy prices. The emerging market bond yield spread narrowed by mid-June, with the ceasefire talks tempering the risk perceptions (Chart II.6c). The US Dollar Index remained steady for most of May, underpinned by robust US economic data, before strengthening later in May amidst higher inflation and Fed tightening expectations. It traded with a depreciating bias in first half of June on easing

Chart II.5: Headline Inflation edged up across Major AEs and EMDEs



Note: The break in the US inflation data series is due to the government shutdown during the period.
Sources: Bloomberg; and OECD.

Chart II.6: Global Financial Markets



Source: Bloomberg.

geopolitical tensions, though it strengthened later on Fed's hawkish stance (Chart II.6d). Portfolio flows to emerging markets reflected large equity outflows despite continued debt inflows (Chart II.7).

In June, major central banks adopted a cautious monetary policy stance amidst challenging growth-inflation trade-offs. Amongst major AEs, while the Euro area and Japan pivoted to rate hikes in response to inflationary pressures, the US, the UK, along with other systemically important central banks held rates unchanged. Within EMDEs, Russia and Brazil cut rates to support growth, while acknowledging that geopolitical tensions could worsen inflation, whereas Philippines raised interest rate due to strong inflationary pressures arising from elevated global oil

Chart II.7: Portfolio Flows to EMDEs

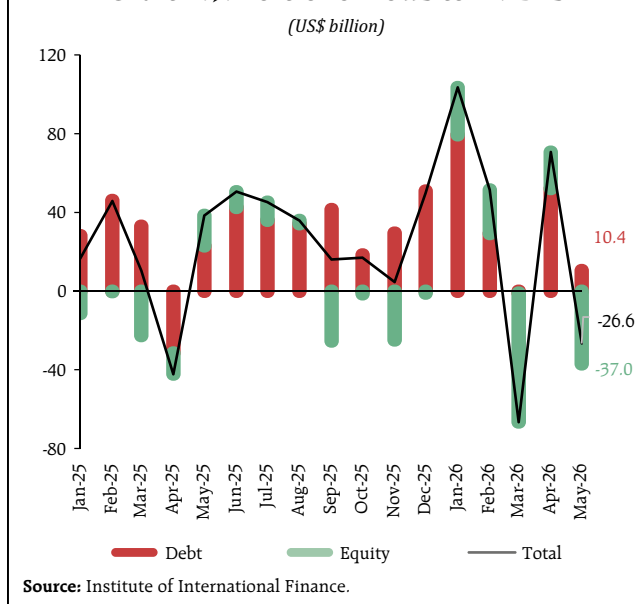
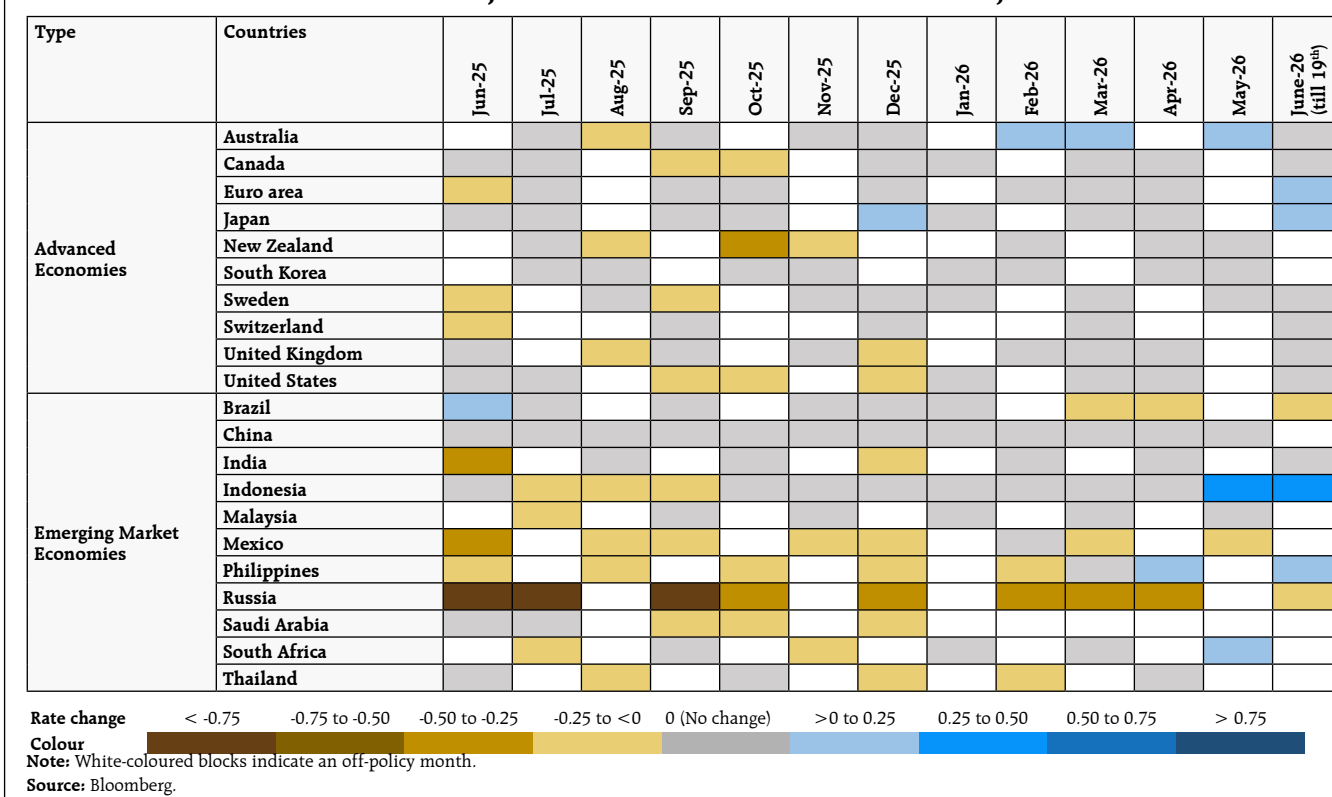


Chart II.8: Major Central Banks Remained Cautious in June

and fertiliser prices. Indonesia aggressively raised its benchmark rate for the second consecutive month in a bid to anchor inflation and stabilise exchange rate (Chart II.8).

III. Domestic Developments

The quarterly estimates of GDP indicated strong growth in the last quarter of 2025-26 despite facing headwinds from the West Asia conflict. The high-frequency indicators for May also suggest buoyant economic activity. Industrial activity remained robust and the services sector showed resilience. Record buffer stocks of rice and wheat are likely to provide cushion against any adverse impact of *El Niño*.

The Monetary Policy Committee (MPC), in its review of June 2026, voted unanimously to keep the policy repo rate unchanged at 5.25 per cent. The MPC continued with the neutral policy stance emphasising the need to wait for greater clarity to assess the

unfolding of the West Asia conflict and its spillover effects on the economy as also the risks from a likely sub-normal south-west monsoon and *El Niño* weather patterns.

The provisional accounts of the Union Government for 2025-26 reaffirmed a continued fiscal consolidation with GFD to GDP remaining lower than that of 2024-25. The provisional accounts of consolidated state government finances, however indicated some slippage for 2025-26.

Aggregate Demand

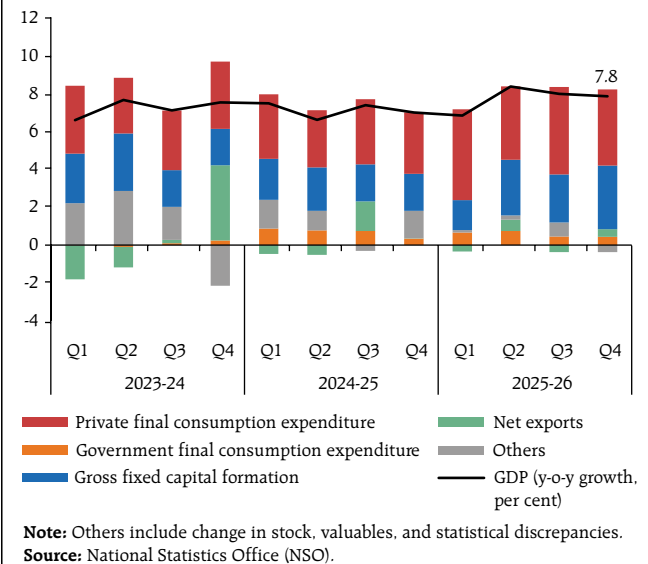
The annual real GDP growth accelerated to 7.7 per cent as per the provisional estimates for 2025-26, over 7.1 per cent recorded in 2024-25 (Annex Table 1).

The quarterly growth at 7.8 per cent in Q4:2025-26 displayed a sustained momentum despite the breakout of the West Asia conflict. The strong performance was primarily supported by robust private consumption and double-digit expansion in

fixed investment activity. On the external front, net exports contributed positively to real GDP growth (Chart III.1).

High-frequency indicators point towards resilience of economic activity in May. E-way bills continued to achieve double-digit growth. Goods and Services Tax (GST) revenue growth moderated sequentially in May after recording strong growth in April.³ While petrol, diesel and aviation turbine fuel consumption recorded a positive growth in May, that of total petroleum products dipped due to a sharp fall in the consumption of LPG, petroleum coke and naphtha.⁴ Electricity demand clocked a double-digit growth (y-o-y) in May driven by heat wave. The monthly number of toll transactions continued to decline after the introduction of the FASTag Annual Pass scheme

Chart III.1: Weighted Contribution to GDP Growth
(Percentage points)



in August 2025.⁵ Digital payments registered steady growth in both value and volume terms (Table III.1).

Table III.1: Overall Economic Activity Displayed Resilience

Indicator	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
GST E-way bills (Volume)	18.9	19.3	25.8	22.4	21.0	8.2	27.6	23.5	15.8	18.8	12.9	11.8	10.9
GST revenue	17.3	6.5	8.2	6.9	10.0	7.6	0.7	6.1	6.2	8.1	8.8	8.7	3.2
Toll collection (Volume)	16.4	15.5	14.8	12.7	4.5	4.6	2.9	0.4	-1.8	-8.7	-4.0	-5.8	-7.2
Electricity demand (Volume)	-4.8	-2.3	2.6	3.8	3.5	-5.8	-0.6	5.8	3.8	1.0	0.8	3.0	11.2
Total consumption of petroleum products (Volume)	1.1	0.5	-4.4	4.8	7.0	-1.5	0.6	4.5	0.3	4.5	3.2	-3.8	-6.5
Of which													
Petrol	9.2	6.8	5.9	5.5	8.0	7.4	2.6	7.1	6.1	6.1	7.6	6.8	3.4
Diesel	2.1	1.5	2.3	1.2	6.5	-0.3	4.8	5.2	3.3	4.3	8.1	0.9	1.6
Aviation turbine fuel	4.4	3.3	-2.3	-2.9	-0.8	2.1	5.4	0.2	5.5	4.0	0.6	-0.1	0.9
Digital payments - volume	29.2	28.3	30.9	31.1	28.1	21.5	30.2	26.8	25.4	23.5	21.0	22.3	18.7
Digital payments - value	12.6	17.4	16.6	5.3	13.4	8.8	14.7	15.2	11.3	17.9	12.6	14.4	11.0

<<Contraction ----- Expansion>>

Notes: 1. The y-o-y growth (per cent) has been calculated for all indicators.

2. The heatmap is applied on data from April 2023 to the latest month for which data is available.

3. Gross GST revenue includes three components- IGST, CGST, and SGST.

4. For digital payments, heatmap is applied on data from April 2024 to the latest month for which data is available.

5. Digital payments data for May 2026 are provisional.

6. The heatmap translates the data range for each indicator into a colour gradient scheme with red denoting the lowest values and green corresponding to the highest values of the respective data series.

Sources: Goods and Services Tax Network; RBI; Central Electricity Authority; National Payments Corporation of India; and Ministry of Petroleum and Natural Gas.

³ GST revenue for May 2025 included about ₹10,000 crore of one-time payment made by a telecom operator for spectrum allocation. Adjusted for this one-time payment, gross GST revenue grew 9 per cent in May 2026 (Source: GST Portal).

⁴ Consumption of LPG, petroleum coke and naphtha contracted (y-o-y) by 20.5 per cent, 11.4 per cent and 29.4 per cent, respectively in May (Source: Petroleum Planning and Analysis Cell, Ministry of Petroleum and Natural Gas).

⁵ The annual pass allows users to make up to 200 trips in a year at a fixed fee, reducing per trip toll revenue across plazas.

Domestic demand remained strong in May, supported by pick-up in urban demand. Y-o-y growth in the domestic air passenger traffic recouped in May after contracting for three consecutive months. Growth in passenger vehicle sales accelerated with new product launches and healthy booking. Electric vehicle (EV) penetration increased across vehicle categories.⁶ On the other hand, the rural demand witnessed some moderation in terms of retail automobile sales (Table III.2).

The latest round of Consumer Confidence Survey⁷ showed a weakening sentiment arising from the evolving macroeconomic conditions besides uncertainties emanating from the ongoing conflict in West Asia. The Current Situation Index in urban areas remained in pessimistic zone driven primarily by deterioration in sentiments with respect to general economic condition, employment scenario and spending. Future Expectations Index also moderated

while remaining in optimistic zone. Similar trends were observed for rural areas (Chart III.2).

In May, the all-India unemployment rate measured by current weekly status, witnessed an increase driven by rural areas, while the urban unemployment rate declined.⁸ The labour force participation rate and worker population ratio fell in both rural and urban areas. PMI employment indicators for both manufacturing and services remained healthy in May, although the pace of hiring moderated. It was partly corroborated by the sequential moderation in white-collar hiring as reflected in Naukri JobSpeak Index. The growth in hiring was driven by gains in insurance, BPO/ITES, and healthcare, while moderation was observed in banking and financial services, telecom, and IT sector. The demand for work under the Mahatma Gandhi National Rural Employment Guarantee Scheme⁹ (MGNREGS) continued to decline for the eleventh consecutive month (Table III.3).

Table III.2: High Frequency Indicators- Resilient Demand Conditions

	Indicator	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
Urban demand	Domestic air passenger traffic	2.6	3.7	-2.5	-0.5	-2.5	3.5	7.0	-4.9	3.1	-0.1	-1.3	-2.8	8.5
	Retail passenger vehicle sales	4.7	2.5	-0.8	0.9	5.8	10.7	20.4	26.6	7.2	26.1	21.5	18.1	23.2
Rural demand	Retail automobile sales Of which	10.1	4.8	-4.3	2.8	5.2	40.5	2.1	14.6	17.6	25.6	25.3	17.4	9.5
	Retail tractor sales	6.7	8.7	11.0	30.1	3.6	14.2	56.5	15.8	22.9	36.4	10.9	28.7	11.2
	Retail two-wheeler sales	11.4	4.7	-6.5	2.2	6.5	51.8	-3.1	9.5	20.8	25.0	28.7	17.2	7.5

<<Contraction ----- Expansion>>

- Notes:** 1. The y-o-y growth (in per cent) has been calculated for all indicators based on volume.
 2. The heatmap is applied on data from April 2023 to the latest month for which data is available.
 3. The heatmap translates the data range for each indicator into a colour gradient scheme with red denoting the lowest values and green corresponding to the highest values of the respective data series.
 4. The data on domestic air passenger traffic for May 2026 growth rate is calculated by aggregating daily data.
 5. Data for retail automobile sales consists of sales of two wheelers, three wheelers, passenger vehicles, tractors, and commercial vehicles.

Sources: Airports Authority of India; Federation of Automobile Dealers Associations (FADA); and Ministry of Rural Development.

⁶ EV share increased to 9.3 per cent in two-wheelers, 64.5 per cent in three-wheelers, 6.6 in passenger vehicles in May 2026 from 6.1 per cent, 61.5 per cent and 4.5 per cent, respectively, a year ago (Source: [FADA press release](#)).

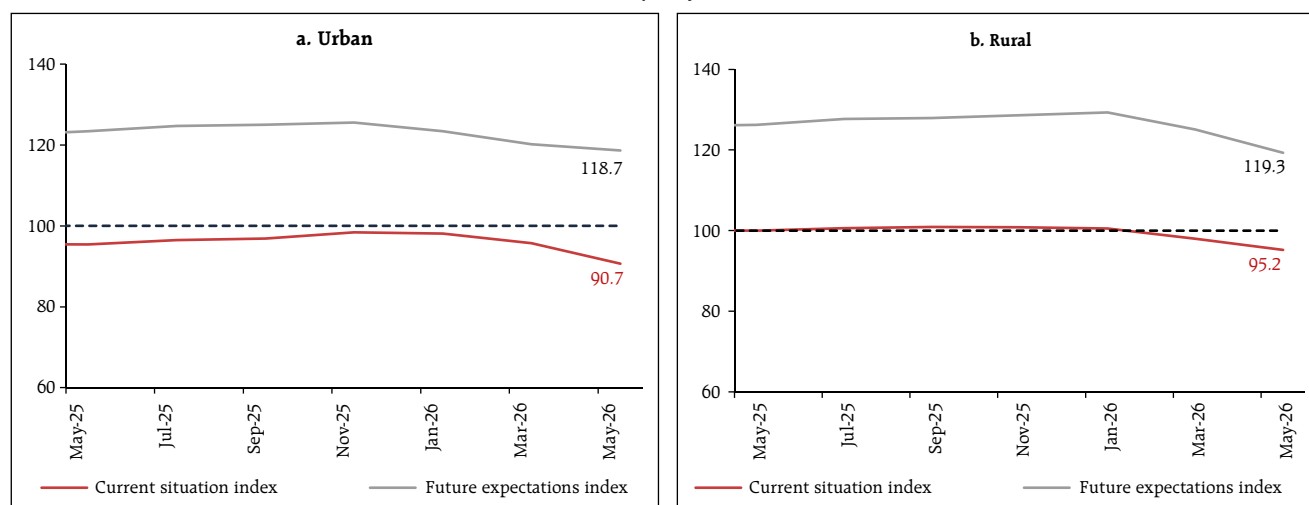
⁷ The survey collects current perceptions (*vis-à-vis* a year ago) and one year ahead expectations of households on general economic situation, employment scenario, overall price situation, their income and spending. The indices are constructed on the basis of net responses. The latest survey was conducted during May 02-11, 2026, covering 8,813 and 6,086 respondents from rural and urban centres, respectively.

⁸ PLFS Monthly Bulletin, May 2026.

⁹ Viksit Bharat Guarantee for Rozgar and Aajeevika Mission (Gramin) (VB-G RAM G) Act, 2025, which replaces the Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA), 2005, will come into effect from July 01, 2026.

Chart III.2: Consumer Confidence Indices Witnessed Moderation

(Index)



Note: A reading >100 denotes improvement in perceptions, <100 denotes deterioration in perceptions and =100 denotes no change in perceptions.

Sources: Urban Consumer Confidence Survey and Rural Consumer Confidence Survey, RBI.

Government Finances

The provisional accounts (PA) of the Central Government for 2025-26 released on June 01, 2026, reaffirmed fiscal consolidation as envisaged in the Union Budget 2026-27. The GFD for

2025-26 stood at 4.4 per cent of GDP, lower than both 2024-25 and the revised estimates (RE) of 2025-26 (Table III.4). The growth (y-o-y) of non-debt total receipts outpaced that of the total expenditure.¹⁰

Table III.3: Moderation in High Frequency Indicators for Employment

Indicator	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
Unemployment rate (PLFS: All-India)	5.6	5.6	5.2	5.1	5.2	5.2	4.7	4.8	5.0	4.9	5.1	5.2	5.5
Unemployment rate (PLFS: Rural)	5.1	4.9	4.4	4.3	4.6	4.4	3.9	3.9	4.2	4.2	4.3	4.6	5.1
Unemployment rate (PLFS:Urban)	6.9	7.1	7.2	6.7	6.8	7.0	6.5	6.7	7.0	6.6	6.8	6.6	6.4
Naukri JobSpeak index	0.3	10.5	6.8	3.4	10.1	-9.3	23.5	13.2	3.4	11.9	9.2	5.8	1.0
PMI employment: manufacturing	54.9	55.1	53.3	53.1	52.1	52.4	50.9	50.5	51.1	51.5	52.6	54.6	53.0
PMI employment: services	57.1	55.1	51.4	52.2	51.9	51.4	51.6	49.8	50.8	51.6	52.7	53.4	53.2
MGNREGS: work demand	4.4	4.4	-12.3	-26.2	-27.1	-35.1	-32.0	-28.9	-25.7	-14.1	-23.2	-35.5	-27.8

<<Contraction ----- Expansion>>

Notes: 1. All PLFS indicators are in the current weekly status and for people aged 15 years and above.

2. The y-o-y growth (in per cent) has been calculated for the Naukri index and MGNREGS work demand.

3. The heatmap is applied to data from April 2023 to May 2026.

4. The heatmap for PLFS unemployment rate is applied to data from April 2025 to May 2026.

5. The heatmap translates the data range for each indicator into a colour gradient scheme with red denoting the lowest values and green corresponding to the highest values of the respective data series.

6. All PMI values are reported in index form. A PMI value >50 denotes expansion, <50 denotes contraction and =50 denotes 'no change'. In the PMI heatmaps, red denotes the lowest value, yellow denotes 50 (or the no change value), and green denotes the highest value in each of the PMI series.

7. PLFS unemployment rate and MGNREGS are encoded in inverse scale- lowest is marked in green, highest is marked in red.

Sources: Ministry of Statistics and Program Implementation, Ministry of Rural Development, GoI; Info Edge; and S&P Global.

¹⁰ For 2025-26 (PA), non-debt total receipts and total expenditure recorded a y-o-y growth of 10.0 per cent and 5.4 per cent, respectively.

Table III.4: Key Fiscal Indicators of the Union Government

(as per cent of GDP)

Item	2024-25 Actuals	2025-26		2026-27 BE
		RE	PA	
(1)	(2)	(3)	(4)	(5)
Gross Fiscal Deficit	4.9	4.5	4.4	4.3
Revenue Deficit	1.8	1.5	1.5	1.5
Primary Deficit	1.4	0.8	0.8	0.7
Gross Tax Revenue	11.9	11.8	11.6	11.2
Non-Tax Revenue	1.7	1.9	2.0	1.7
Total Expenditure	14.6	14.4	14.2	13.6
Revenue Expenditure	11.3	11.2	11.1	10.5
Capital Expenditure	3.3	3.2	3.1	3.1
of which Capital Outlay	2.7	2.6	2.5	2.4

Notes: 1. RE: Revised Estimates, PA: Provisional Accounts, and BE: Budget Estimates.

2. GDP used for 2026-27 (BE) is as per Union Budget 2026-27. For 2025-26 (RE), the GDP is as per Second Advance Estimates released by NSO on February 27, 2026. For 2025-26, the GDP used is as per the Provisional Estimates released by NSO on June 05, 2026.

Sources: Controller General of Accounts, Ministry of Statistics and Programme Implementation, and Union Budget documents.

The revenue receipts posted a healthy growth led by expansion of net tax revenue and non-tax revenue.¹¹ Expansion in gross tax revenue was largely driven by double-digit growth in corporation tax, customs duties, and union excise duties.¹²

Total expenditure (as per cent of GDP) moderated marginally in 2025-26 (PA), as compared to both 2024-25 actuals and 2025-26 (RE). Revenue expenditure growth accelerated in 2025-26 (PA) over 2024-25 led by higher growth rates in both interest payments and major subsidies.¹³ Capital expenditure recorded

¹¹ For 2025-26 (PA), revenue receipts, net tax revenue and non-tax revenue recorded y-o-y growth rates of 8.7 per cent, 4.9 per cent and 26.5 per cent, respectively.

¹² For 2025-26 (PA), gross tax revenue recorded a y-o-y growth of 6.0 per cent. Corporation tax, customs duties and union excise duties recorded growth rates of 11.4 per cent, 13.4 per cent and 13.9 per cent, respectively.

¹³ For 2025-26 (PA), revenue expenditure recorded a growth of 6.5 per cent as compared to a growth of 3.1 per cent in 2024-25. Interest payments and major subsidies recorded growth rates of 11.4 per cent and 17.9 per cent, respectively, in 2025-26 (PA) as compared to growth rates of 4.9 per cent and (-) 6.6 per cent, respectively, in the same period last year.

moderate growth in 2025-26 (PA) after five consecutive years of double-digit growth.¹⁴

All the key deficit indicators of the Centre as per cent of the budget estimates (BE) were higher in April:2026-27, as compared to April:2025-26.¹⁵ The higher GFD was on account of expansion in total expenditure, while the non-debt total receipts contracted in April:2026-27.¹⁶ The contraction in revenue receipts was primarily driven by decline in net tax revenue and non-tax revenue.¹⁷ The growth in total expenditure was primarily driven by revenue expenditure.¹⁸

In contrast to the Centre, the provisional accounts (PA) of State Governments for 2025-26 point to some slippages. The revenue deficit (RD), GFD, and primary deficit (PD), increased compared to the previous year. The rise in the consolidated GFD to gross state domestic product (GSDP) ratio was mainly attributable to slower revenue receipts growth, driven by a shortfall in tax revenue and reduced grants from the Centre. Although revenue expenditure growth moderated, the decline was insufficient to offset the revenue receipts shortfall. Capital expenditure as a per cent of GSDP also declined. For 2026-27, States have budgeted a lower fiscal deficit of 3.0 per cent of GSDP and a higher capital outlay¹⁹ (Table III.5).

¹⁴ For 2025-26 (PA), capital expenditure recorded a growth of 1.6 per cent as compared to a growth of 10.8 per cent in 2024-25.

¹⁵ As per the latest data released by the Controller General of Accounts (CGA).

¹⁶ For April:2026-27, non-debt total receipts and total expenditure recorded growth rates (y-o-y) of (-) 23.8 per cent and 23.5 per cent, respectively, as compared to growth rates (y-o-y) of 30.9 per cent and 10.0 per cent, respectively, in April:2025-26.

¹⁷ For April:2026-27, revenue receipts recorded a growth (y-o-y) of (-) 21.0 per cent as compared to a growth (y-o-y) of 21.0 per cent in April:2025-26. Net tax revenue and non-tax revenue recorded growth rates (y-o-y) of (-) 5.9 per cent and (-) 63.8 per cent, respectively, as compared to growth rates (y-o-y) of 2.5 per cent and 146.0 per cent, respectively in April:2025-26.

¹⁸ For April:2026-27, revenue expenditure and capital expenditure recorded growth rates (y-o-y) of 25.9 per cent and 18.8 per cent, respectively, as compared to growth rates of (-) 5.7 per cent and 61.0 per cent, respectively, in April:2025-26.

¹⁹ The focus on strengthening expenditure quality is further reinforced by Union government allocating ₹2.0 lakh crore towards the Scheme for Special Assistance to States for Capital Investment in 2026-27, which is a 33.3 per cent increase as compared to the previous year.

Table III.5: Key Fiscal Indicators of the State Governments
(as per cent of GSDP)

Item	2024-25	2025-26	2026-27
	Accounts	PA	BE
Revenue Receipts	12.8	12.3	13.7
Tax Revenue	10.3	9.9	10.6
Non-Tax revenue	1.0	1.0	1.2
Grants from the Centre	1.5	1.3	1.9
Capital Receipts	0.04	0.04	0.1
Revenue Expenditure	13.1	13.0	13.7
Of which: Interest Payments	1.5	1.6	1.5
Capital Expenditure	2.7	2.6	3.2
Of which: Capital Outlay	2.5	2.4	3.0
Revenue Deficit	0.3	0.7	-0.1
Gross Fiscal Deficit	3.0	3.3	3.0
Primary Deficit	1.4	1.7	1.4

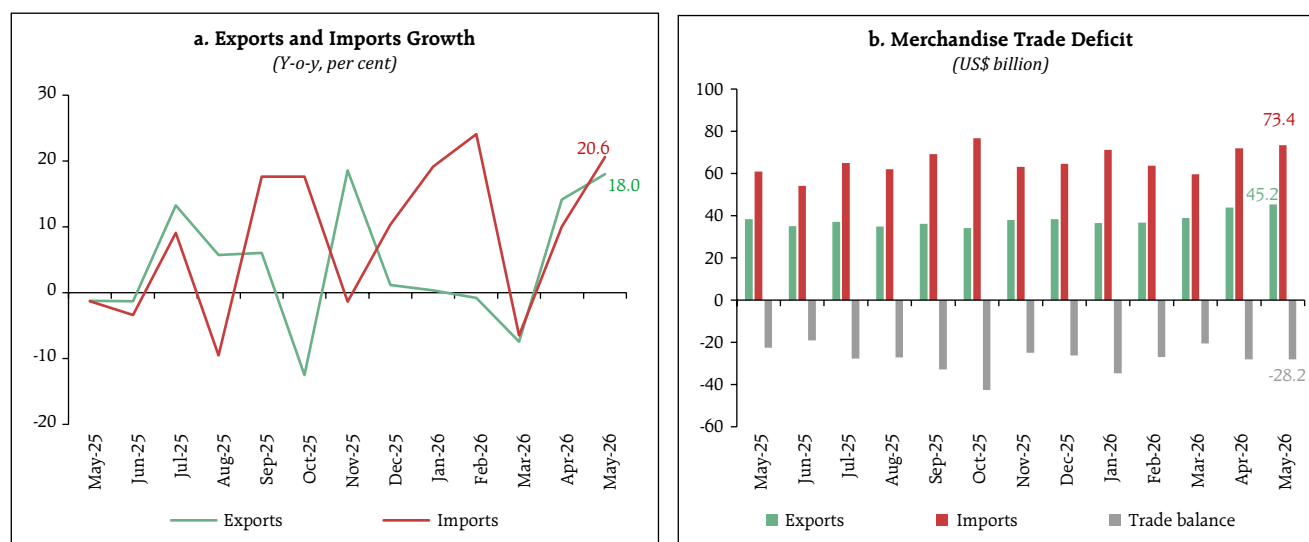
Notes: 1. PA: Provisional Accounts, BE: Budget Estimates;
2. Data for 2024-25 (Accounts), and 2026-27 (BE) pertain to 25 States/ UTs.
3. Data for 2025-26 (PA) pertain to 27 States/UTs.

Sources: Budget documents of States, Comptroller and Auditor General (CAG).

Trade

In May 2026, merchandise trade deficit widened (y-o-y), but was largely unchanged from April 2026 (Chart III.3).²⁰ The higher deficit (y-o-y) was mainly on account of higher crude oil prices. Import growth in May 2026 was driven by petroleum crude and products; electronic goods; and gold.²¹ Exports in May 2026, at US\$ 45.2 billion, is the highest ever in recent years.²² Apart from higher crude oil prices, which drove petroleum product exports, export diversification also supported export growth.²³ While exports to the US remained unchanged y-o-y, exports to China continued to grow in double-digits.²⁴ Following a hike in gold and silver import duty in

Chart III.3: India's Merchandise Trade Deficit Widened in May y-o-y



Sources: PIB; and DGCI&S.

²⁰ India's merchandise trade deficit widened to US\$ 28.2 billion in May 2026 from US\$ 22.6 billion a year ago. Exports increased to 16 out of the top 20 destinations, including Singapore, China, Tanzania, South Africa and Sri Lanka. Imports rose from 16 out of the top 20 source countries, including China, Russia, the US, Oman and Brazil.

²¹ Merchandise imports increased by 20.6 per cent (y-o-y) in May 2026. Imports of petroleum, crude and products grew by 53.8 per cent (y-o-y), electronic goods by 35.5 per cent (y-o-y), and gold by 34.0 per cent (y-o-y).

²² Merchandise exports rose by 18.0 per cent (y-o-y) to US\$ 45.2 billion, led by petroleum products, engineering goods, electronic goods, organic and inorganic chemicals, and meat, dairy and poultry products. Exports declined in segments such as readymade garments of all textiles, ceramic products and glassware, tobacco, leather and leather products, and mica, coal and other ores; and minerals.

²³ Following the trends in the past few months, destinations like Tanzania, Sri Lanka, South Africa, Italy, Malaysia, and South Korea continued to support export growth in May 2026.

²⁴ Exports to the US stood at US\$ 8.8 billion in May 2026 as in May 2025, while growing sequentially by 4.0 per cent over US\$ 8.5 billion in April 2026. Exports to China increased by 24.8 per cent (y-o-y) in May 2026, from 22.5 per cent (y-o-y) in May 2025.

Chart III.4: Net Services Exports Witnessed Robust Growth in April
(Y-o-y, per cent)



Source: RBI.

May 2026, imports of both gold and silver declined in value terms sequentially in May 2026.²⁵

Net services exports recorded a robust growth in April (Chart III.4).²⁶ Services exports were led by software and business services, while services imports grew mainly due to business and transport services.

Aggregate Supply

The growth remained broad-based from the supply side, with real gross value added (GVA) at basic prices firming up to 7.9 per cent in 2025-26 from 7.3 per cent in the previous year with both industry and services growing at 9.0 per cent each (Annex Table 2).

Quarterly real GVA growth remained robust at 7.9 per cent in Q4:2025-26. An expansion across major services sub-sectors and improved agricultural sector performance coming from a strong *rabi* harvest, helped in sustaining the momentum. In contrast,

²⁵ Gold and silver imports (in value terms) declined by 39.3 per cent and 81.6 per cent, respectively, on m-o-m basis in May 2026.

²⁶ Net services exports grew by 16.8 per cent (y-o-y) to US\$ 18.6 billion in April 2026. During the full year 2025-26, net services exports increased to US\$ 216.6 billion from US\$ 188.8 billion in the previous year.

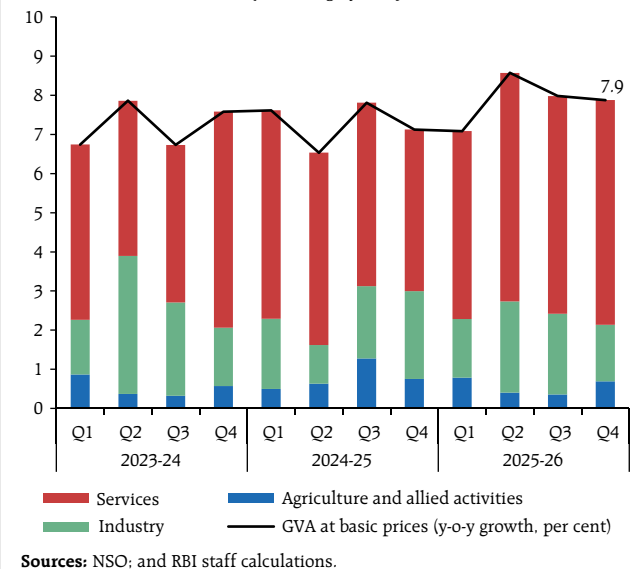
manufacturing activity exhibited some signs of softening primarily on account of rising energy prices and input cost pressures (Chart III.5).

Agriculture

The foodgrains production²⁷ for 2025-26, as per third advance estimate, reached 376.6 million tonnes, which was 5.3 per cent higher than the final estimate (FE) for 2024-25, driven by record production of rice, wheat, and maize. Among non-foodgrains, production of oilseeds and sugarcane increased while that of cotton fell (Chart III.6). The production of horticultural crops for 2025-26, as per the second advance estimate, touched a record level of 378 million tonnes, which was 1.9 per cent higher than the FE for 2024-25.²⁸

As per the updated forecast of the India Meteorological Department (IMD) (released on May 29, 2026), the south-west monsoon (SWM) rainfall is likely to be below normal this year.²⁹ The SWM

Chart III.5: Weighted Contribution to GVA Growth
(Percentage points)



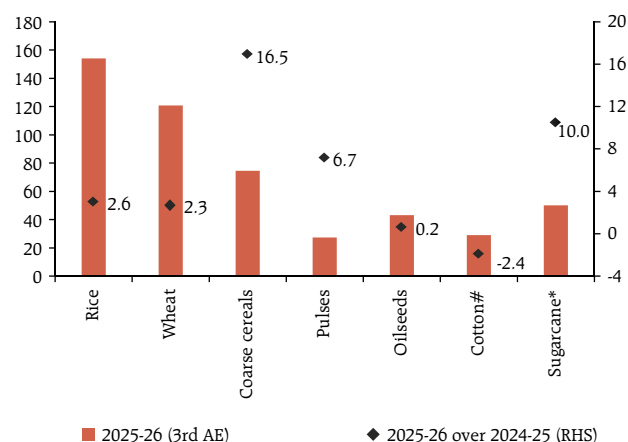
Sources: NSO; and RBI staff calculations.

²⁷ Includes *kharif*, *rabi* and summer crop production of rice, wheat, pulses and coarse cereals.

²⁸ The increase was primarily driven by higher production of banana, mango and major vegetables other than onion.

²⁹ The rainfall is predicted at 90 per cent of the long period average (LPA) (a model error of ± 4 per cent).

Chart III.6: Agriculture Crop Production - 3rd Advance Estimate for 2025-26
(Million tonnes, left scale; per cent, right scale)



Note: *: Sugarcane production is in 10 million tonnes.
#: Million bales of 170 kgs each.
Source: Ministry of Agriculture and Farmers' Welfare, GOI.

arrived over Kerala on June 04, three days later than the normal date of onset (June 01). While the SWM has covered southern and parts of eastern regions so far, the cumulative rainfall (June 01-21) at the country level has been significantly lower than the

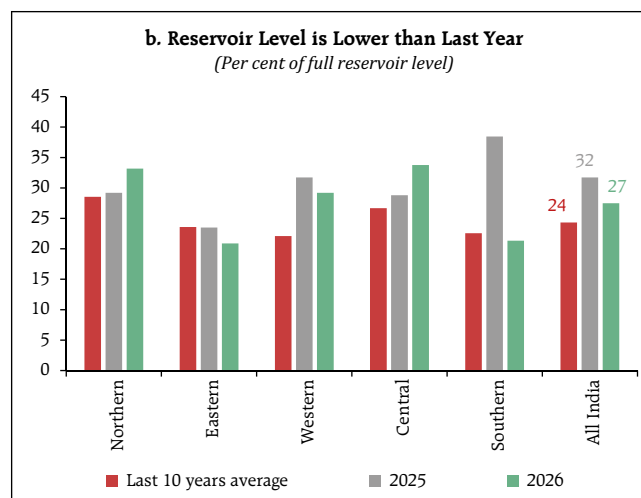
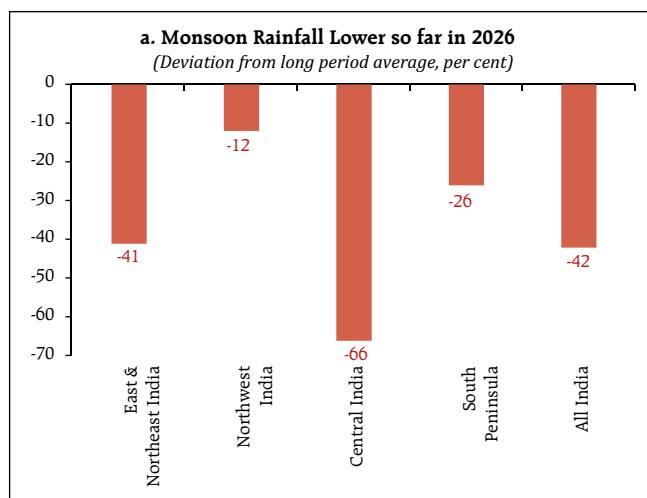
normal. The reservoir position has slipped below last year; however, it remains above the decadal average (Chart III.7).

Given the good harvest last year, the public procurement of wheat has been robust.³⁰ The public stock of rice and wheat with the Food Corporation of India (FCI) is well above the buffer norms³¹ which may serve as a strategic cushion against any supply disruption or spike in prices triggered by a likely *El Niño* weather phenomenon.

Monthly Indicators of Industrial Activity

Based on high frequency indicators, industrial activity remained robust, despite ongoing West Asia conflict. The index of eight core industries witnessed an uptick in April, supported by cement and steel production. Manufacturing PMI rose for the second consecutive month in May, driven by faster growth in output and new orders as well as supported by resilient domestic demand. Automobile production registered

Chart III.7: Downside Risks to Agriculture Production



Notes: 1. Data for rainfall pertains to June 01-21.
2. Data for reservoirs pertain to June 18.
Sources: India Meteorological Department and Central Water Commission.

³⁰ As on June 20, 2026, wheat procurement during Rabi Marketing Season (RMS) 2026-27 (Apr-Mar) stood at 358 lakh tonnes, which has surpassed government's procurement target of 345 lakh tonnes and is 19.4 per cent higher than the procurement during RMS 2025-26.

³¹ As on June 01, 2026, the rice and wheat stock stood at 5.0 times and 7.2 times the respective quarterly buffer norms.

higher growth (y-o-y) in May as compared to last year, aided by lower GST rates. Electricity generation surged in May driven by higher peak power demand due to severe heat wave conditions. The growth (y-o-y) in IIP, under the new series with revised base year³², strengthened in April as compared to the previous month, led by strong growth in manufacturing sector. However, Index of eight core industries witnessed a

moderation in May, driven by refinery products and coal (Table III.6).

The Pulse Survey conducted by the Reserve Bank during May 2026³³ shows headwinds for manufacturing activity amidst the West Asia conflict. Over 80 per cent of firms reported an increase in input costs, with a significant proportion indicating adverse impact on production. Profitability was reported to

Table III.6: High Frequency Indicators for Industry Remained Robust

Indicator	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
IIP headline	4.7	3.0	5.0	3.6	5.5	0.0	6.5	5.8	4.4	5.2	3.2	4.9	
IIP manufacturing	4.7	2.7	4.6	3.9	5.8	-0.3	8.9	7.9	5.0	5.9	3.9	6.2	
IIP capital goods	9.8	4.0	6.4	7.0	14.1	8.1	18.8	14.4	14.3	19.1	11.2	16.0	
PMI manufacturing	57.6	58.4	59.1	59.3	57.7	59.2	56.6	55.0	55.4	56.9	53.9	54.7	55.0
PMI export order	56.9	60.6	57.3	56.1	56.5	54.7	54.1	54.0	54.1	53.2	55.0	56.3	53.7
PMI manufacturing: future output	63.1	62.2	57.6	60.5	64.8	62.3	57.1	56.9	56.4	57.9	67.3	65.5	64.1
Index of Eight Core Industries	1.2	2.2	3.7	6.5	3.3	-0.1	2.1	4.7	4.7	2.8	1.2	1.8	0.5
Electricity generation: conventional (volume)	-8.2	-6.1	-0.8	1.0	0.8	-10.6	-5.0	4.4	2.2	-1.5	-1.1	2.3	7.4
Electricity generation: renewable (volume)	18.2	28.7	26.4	22.7	16.4	21.4	22.9	18.0	22.9	25.3	11.7	23.2	
Automobile production (volume)	5.2	1.2	10.7	8.1	10.8	-2.8	22.3	37.1	15.0	22.1	20.2	26.0	13.3
Of which													
Passenger vehicle production (volume)	5.4	-1.8	0.1	-4.1	16.1	9.8	22.8	23.1	5.6	9.8	9.0	12.8	10.9
Two-wheelers production (volume)	4.7	1.4	12.3	10.0	9.8	-5.6	20.9	39.9	16.1	24.4	22.0	28.1	12.9
Three-wheelers production (volume)	16.9	8.6	24.0	15.8	15.9	15.9	55.4	39.6	33.2	29.9	34.0	41.6	32.9
Tractor production (volume)	9.1	9.8	11.5	9.4	23.0	13.0	37.5	57.9	14.6	80.0	28.6	18.1	15.5
Crude steel production (volume)	11.0	12.6	13.8	12.8	13.7	8.9	11.1	10.8	11.5	11.4	10.6	3.9	2.9
Finished steel production (volume)	7.8	10.9	13.8	13.8	14.0	7.2	12.4	10.9	12.5	8.6	8.2	6.4	7.7
Import of capital goods (value)	15.7	3.4	13.3	0.2	12.7	8.5	12.8	13.0	7.1	19.7	13.1	21.6	

<<Contraction ----- Expansion>>

Notes: 1. The y-o-y growth (in per cent) has been calculated for all indicators (except for PMI).

2. The heatmap translates the data range for each indicator into a colour gradient scheme with red denoting the lowest values and green corresponding to the highest values of the respective data series.

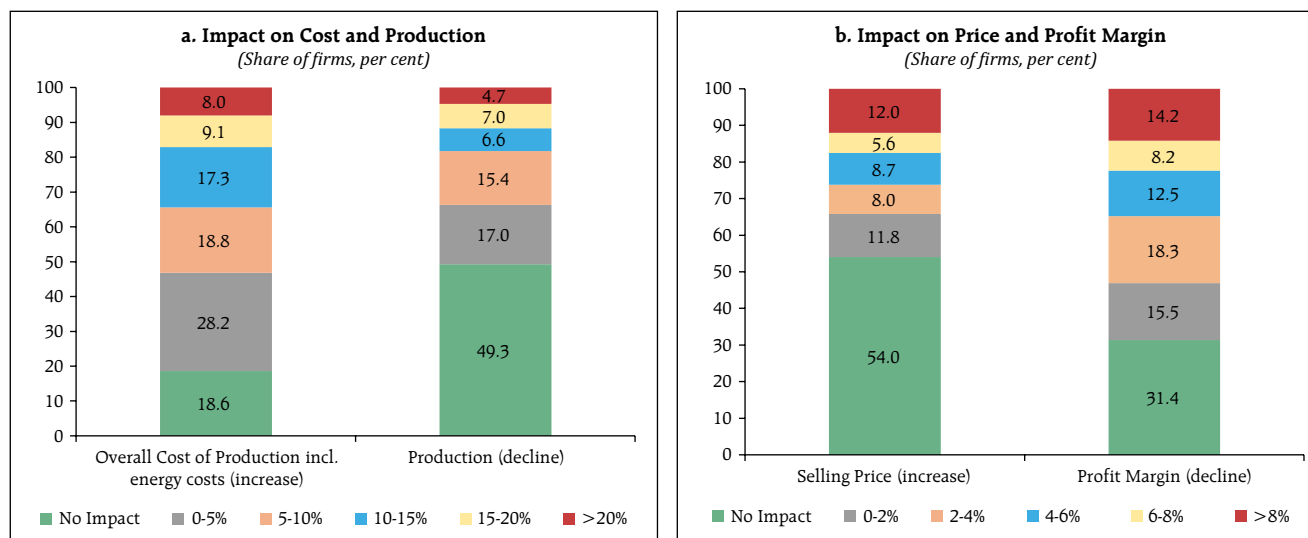
3. The heatmap is applied on data from April 2023 to the latest month for which data is available.

4. All PMI values are reported in index form. A PMI value >50 denotes expansion, <50 denotes contraction and =50 denotes 'no change'. In the PMI heatmaps, red denotes the lowest value, yellow denotes 50 (or the no change value), and green denotes the highest value in each of the PMI series.

Sources: Ministry of Statistics and Programme Implementation; S&P Global; Central Electricity Authority; Ministry of Power; Society of Indian Automobile Manufacturers; Office of Economic Adviser, GoI; Joint Plant Committee; Directorate General of Commercial Intelligence & Statistics; and Tractor and Mechanisation Association.

³² For further details see Annex Box 1.

³³ The Pulse Survey, conducted for manufacturing firms, captures perceptions of key business parameters such as production/turnover, cost, selling prices, and profit margins for the current month *vis-à-vis* the previous month, along with expectations for the next month. In addition, the May 2026 round incorporated a special question on the ongoing West Asia conflict, wherein firms were asked to indicate the expected impact during Q1:2026-27 relative to the pre-conflict situation (January-February 2026). The survey was conducted during May 12-22, 2026, with responses from 564 manufacturing firms.

Chart III.8: Manufacturing Firms likely to face Headwinds from West Asia Conflict

Source: Pulse Survey, RBI.

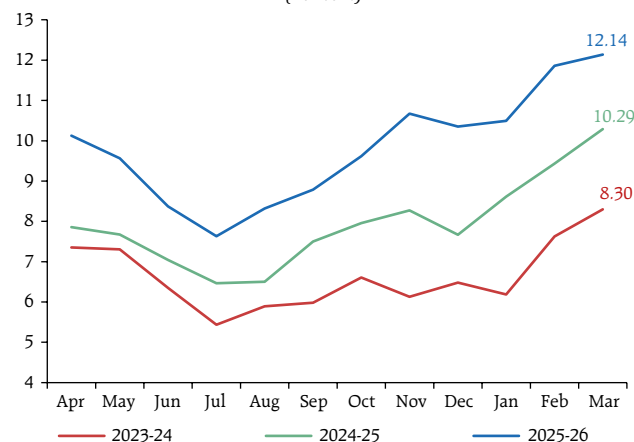
have come under pressure with nearly 70 per cent of the respondents reporting contraction in profit margins (Chart III.8).

India's solar energy sector continues to expand, supported by strong growth in both installed capacity and electricity generation.³⁴ India has become world's second-largest solar market³⁵ after China on account of high annual solar energy capacity additions in 2025.³⁶ Under the *PM Surya Ghar: Muft Bijli Yojana*, a record 3.16 lakh rooftop solar installations were added in May 2026, with the total installations crossing over 33 lakh which has added more than 12 GW of solar power capacity since its inception in February 2024 (Chart III.9).

Monthly Indicators of Services Activity

India's services sector remained resilient in May. Services PMI strengthened further in May, supported by healthy demand conditions, and continued rise in new business. Steel consumption strengthened in May, reflecting sustained demand from infrastructure

and construction sectors. Port cargo traffic growth (y-o-y) accelerated while international air passenger traffic continued to contract, *albeit* at a lower rate as compared to the previous month, reflecting weak external demand. Growth in foreign tourist arrivals fell for the second consecutive month in April amidst persistent geopolitical tensions.³⁷ Retail commercial vehicle sales growth moderated (Table III.7).

Chart III.9: Rising Share of Solar Electricity in Total Energy Met
(Per cent)

Note: The share of solar electricity is calculated as solar electricity generation (Million units) as per cent of total Energy Met (Million units), where Energy Met is the national-level electrical energy supply indicator reported by GRID-INDIA.
Source: GRID-INDIA.

³⁴ Solar power installed capacity reached 157 GW as at-end May 2026.

³⁵ Renewable Capacity Statistics 2026, International Renewable Energy Agency, March 2026.

³⁶ India added 37 GW of solar energy capacity in 2025, compared with 315 GW in China and 34 GW in the US.

³⁷ Data is available till April 2026.

Table III.7: High Frequency Indicators for Services Remained Resilient

Indicator	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
PMI services	58.8	60.4	60.5	62.9	60.9	58.9	59.8	58.0	58.5	58.1	57.5	58.8	59.8
International air passenger traffic	5.0	3.4	5.5	7.7	7.3	9.7	7.5	6.0	7.1	3.0	-18.5	-16.7	-9.7
Domestic air cargo	2.3	2.6	4.8	7.1	2.8	-2.3	20.5	4.3	8.7	18.5	10.8	8.2	
International air cargo	6.8	-1.2	4.2	4.5	2.3	-2.3	12.7	12.6	8.4	17.5	-6.0	11.5	
Port cargo traffic	4.3	5.6	4.0	2.5	11.5	11.9	14.5	12.7	7.6	5.1	0.6	2.4	6.6
Retail commercial vehicle sales	1.4	6.6	0.2	8.6	2.7	21.1	17.0	24.6	15.1	28.9	15.1	18.8	5.3
Steel consumption	8.5	9.1	7.3	10.0	8.9	2.4	6.0	5.4	4.9	12.8	13.7	8.1	9.2
Cement production	9.7	8.2	11.6	5.4	5.0	5.2	14.6	13.7	11.3	8.9	4.7	9.4	
Foreign tourist arrivals	-23.8	-24.2	-16.4	-5.1	-9.8	-5.1	-2.0	2.0	5.2	6.1	-1.6	-14.7	
Hotel occupancy	-2.8	-0.3	-2.4	-3.2	-0.6	0.0	3.8	-1.5	-8.5	1.2	-4.0	-1.0	

<<Contraction ----- Expansion>>

Notes: 1. The y-o-y growth (in per cent) has been calculated for all indicators (except for PMI).

2. The heatmap translates the data range for each indicator into a colour gradient scheme with red denoting the lowest values and green corresponding to the highest values of the respective data series.

3. The heatmap is applied to data from April 2023 to the latest month for which data is available.

4. All PMI values are reported in index form. A PMI value >50 denotes expansion, <50 denotes contraction and =50 denotes 'no change'. In the PMI heatmaps, red denotes the lowest value, yellow denotes 50 (or the no change value), and green denotes the highest value in each of the PMI series.

Sources: Federation of Automobile Dealers Associations; Indian Ports Association; Airports Authority of India; Joint Plant Committee, Ministry of Steel; Office of Economic Adviser, Ministry of Commerce & Industry; Ministry of Tourism; HVS Anarock; and S&P Global.

Inflation

CPI headline inflation³⁸ inched up sequentially to 3.9 per cent (y-o-y) in May 2026 from 3.5 per cent in the preceding month³⁹ driven by broad-based increases in all the three categories - food & beverages, fuel⁴⁰ and core⁴¹ components. Rise in inflation of food and beverages was across classes/sub-classes, barring pulses. CPI fuel inflation also increased significantly over the previous month on account of rise in retail prices of petrol, diesel and compressed natural gas (CNG)⁴² [Chart III.10].

³⁸ As per the provisional data released by the National Statistics Office (NSO) on June 12, 2026.

³⁹ On a month-on-month basis, the overall CPI recorded an increase of 75 basis points (bps), which more than offset a favourable base effect of about 30 bps.

⁴⁰ Fuel represents the group, 'Electricity, gas and other fuels' and the class, 'fuels and lubricants for personal transport equipment' [which includes diesel, petrol and other natural gas (compressed natural gas (CNG))]. For more details, refer to Box IV.2 in the Prices and Costs chapter of the Monetary Policy Report, April 2026.

⁴¹ Headline excluding food and fuel.

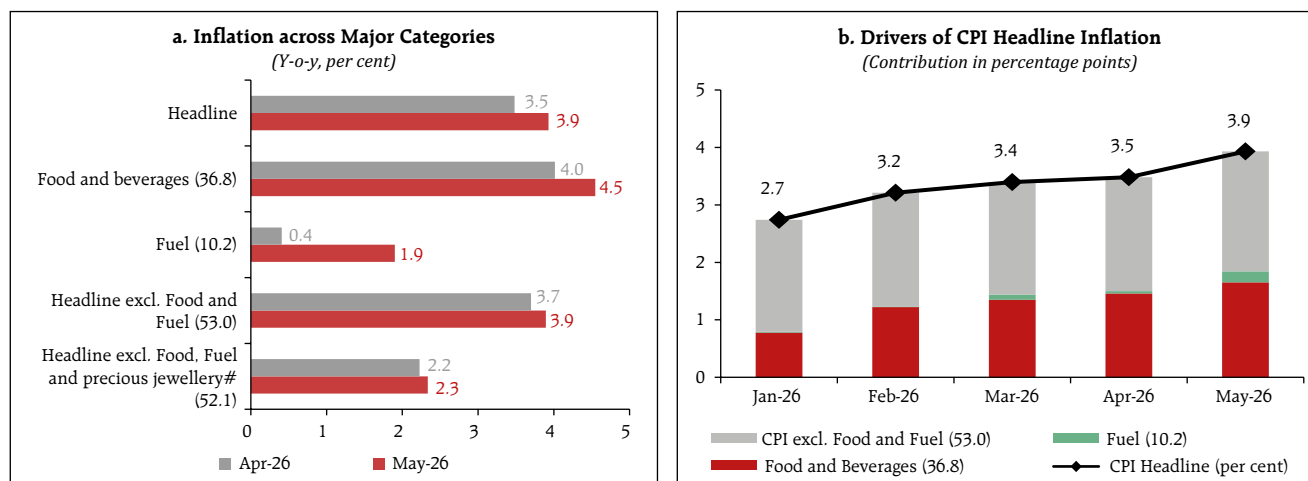
⁴² CNG saw a cumulative increase of ₹3-6 per kg in several cities and state capitals.

Core inflation edged up to 3.9 per cent (y-o-y) in May 2026 from 3.7 per cent in the previous month, primarily driven by precious metals. Excluding precious metals, core inflation inched up to 2.3 per cent from 2.2 per cent during this period, indicating that the underlying price pressures continued to remain contained. The passthrough of higher commercial LPG⁴³ prices, however, led to a pick-up in inflation in the 'restaurants and accommodation services'. Among all divisions, the inflation in 'personal care, social protection and miscellaneous goods and services' remained the highest. Overall, eight out of twelve divisions witnessed a sequential increase in inflation in May (Chart III.11).

The increase in inflation was spatially divergent across states.⁴⁴ Sequential rise was widespread with

⁴³ Commercial LPG prices (19-kg cylinder) were hiked in two tranches – on May 01 and June 01 – with cumulative increase amounting to ₹1035-₹1047.5 per cylinder.

⁴⁴ Inflation stood at 3.5 per cent and 4.3 per cent, respectively, in urban and rural areas in May.

Chart III.10: Broad based Rise in CPI-Combined Inflation in May

CPI: Consumer Price Index.

Notes: 1. Figures in parentheses indicate weights in CPI-C (2024=100).

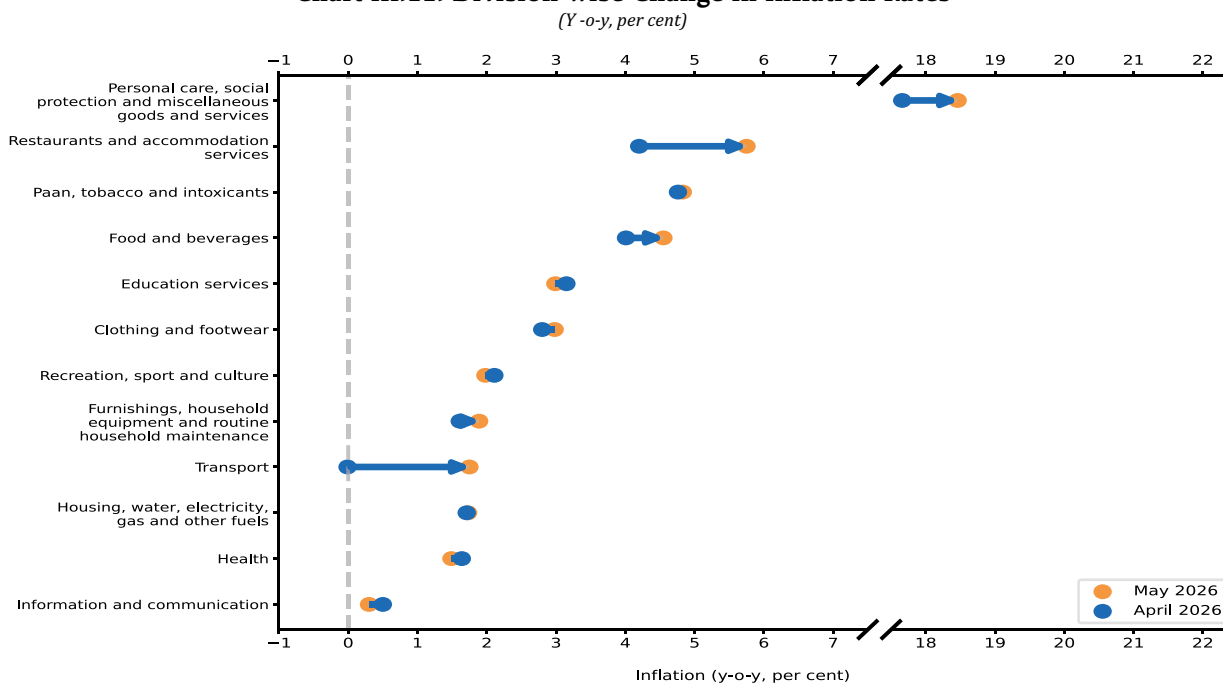
2. #Precious jewellery includes the items 'gold/diamond/platinum jewellery' and 'silver jewellery'.

Source: National Statistics Office (NSO).

the inflation ranging from 1.0 per cent to 6.2 per cent, although the majority of the states experienced inflation between 2 per cent and 4 per cent (Chart III.12).

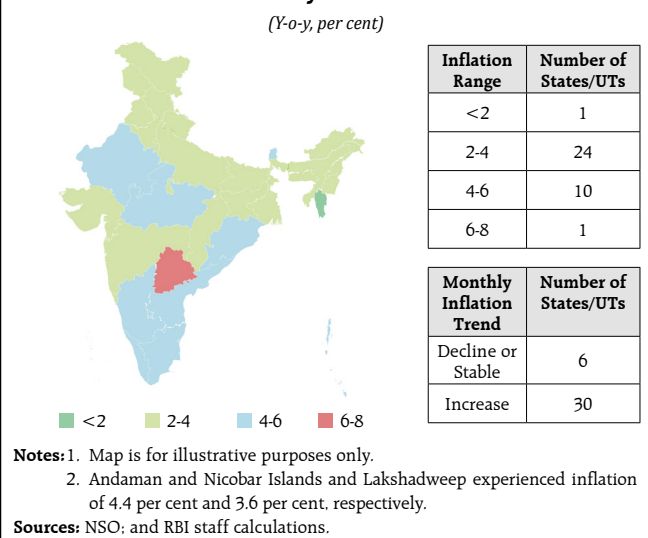
Among other factors, the month-on-month price build up in CPI-Food and Beverages during May could also be attributed to seasonal uptrend during

summer, which was observed across all classes/sub-classes, except fruits and nuts. This broad-based pick-up in food prices appeared to have continued in June as suggested by the daily prices data available up to June 18. Within foodgrains, prices of rice and wheat as well as major pulses recorded an uptick. Among

Chart III.11: Division-wise Change in Inflation Rates

Sources: NSO; and RBI staff calculations.

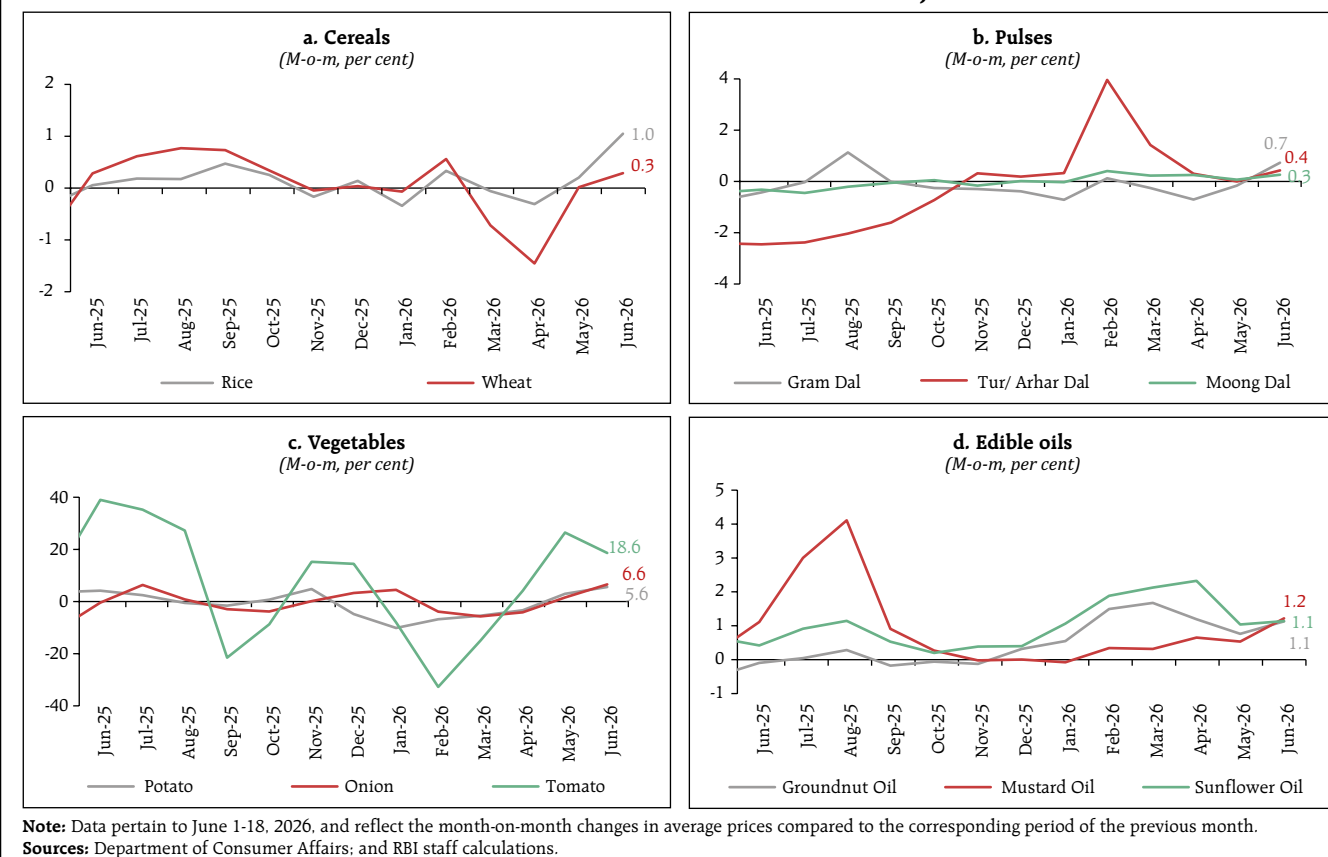
Chart III.12: Spatial Distribution of Inflation: May 2026
(Y-o-y, per cent)



perishables, prices of major vegetables viz., potato, onion and tomato, edged up further. The month-on-month increase in the prices of edible oils remained broad-based (Chart III.13).

Amidst the disruptions to global energy supply chains, price of the Indian basket crude oil⁴⁵ remained elevated despite easing in June from the peak observed in April (Chart III.14).⁴⁶ Surge in international prices have partially been passed on to retail consumers through upward revisions in prices of petrol and diesel in four tranches in May⁴⁷ with cumulative increases of around ₹7.5 per litre and ₹7.6 per litre, respectively (Table III.8).

Chart III.13: Food Price Pressures Intensified in June 2026

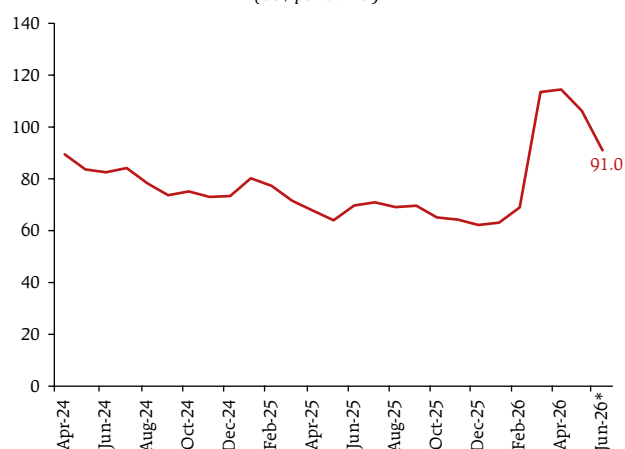


⁴⁵ Represents a derived basket of Sweet grade (Brent dated) and Sour grade (Oman and Dubai average) imported by Indian refineries during the month in the ratio 61:39 for April, 70:30 for May and 71:29 for June.

⁴⁶ Although the price of the Indian basket crude oil eased to US\$ 91.0 per barrel in June (average till June 17) from the recent peak of US\$ 114.5 per barrel in April, it continues to remain significantly higher than the average of US\$ 70.7 per barrel witnessed during 2025-26.

⁴⁷ May 15, 19, 23 and 25.

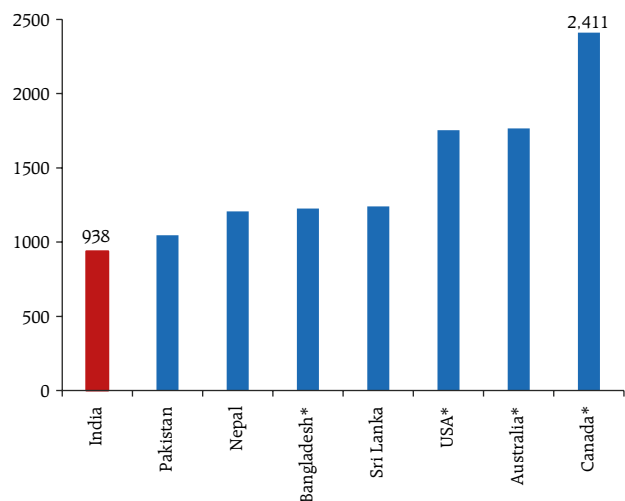
Chart III.14: Indian Basket Crude Oil Prices Witnessed Some Moderation
(US\$ per barrel)



Note: 1. Data indicate monthly average.
2. *: Data refer to average price from June 01-17.
Source: Petroleum Planning and Analysis Cell.

Domestic household LPG prices were increased by ₹29 per 14.2 kg cylinder in June, following ₹60 hike in March 2026. Despite the hike, Indian households continue to pay amongst the lowest cooking gas prices in the world, as the government and oil marketing companies (OMCs) have largely prevented the high international prices from feeding into the expenditure budgets of households (Chart III.15). With this, the

Chart III.15: Comparatively Lower LPG Prices in India
(₹ per 14.2 kg cylinder)



*: Values are approximate.
Source: PIB Release, June 7, 2026.

Table III.8: Retail Prices of Petrol and Diesel Maintained Upward Trajectory

Item	Unit	Domestic Prices			Month-over-month (per cent)	
		Jun-25	May-26	Jun-26 ^	May-26	Jun-26 ^
Petrol	₹/litre	101.1	104.1	108.7	2.9	4.4
Diesel	₹/litre	90.5	93.4	98.1	3.2	5.0
Kerosene (subsidised)	₹/litre	40.2	46.8	46.8	0.0	0.0
LPG (non-subsidised and non-commercial)	₹/cylinder	863.3	923.3	942.6	0.0	2.1

Note: 1. ^: Updated up to June 18, 2026.

2. Other than kerosene, prices represent the average Indian Oil Corporation Limited (IOCL) prices in four major metros (Delhi, Kolkata, Mumbai and Chennai). For kerosene, prices denote the average of the subsidised prices in Kolkata, Mumbai and Chennai.

Sources: IOCL; Petroleum Planning and Analysis Cell; and RBI staff calculations.

OMCs absorb under recoveries of about ₹700 per 14.2 kg cylinder as their cost of supply is more than ₹1600.⁴⁸

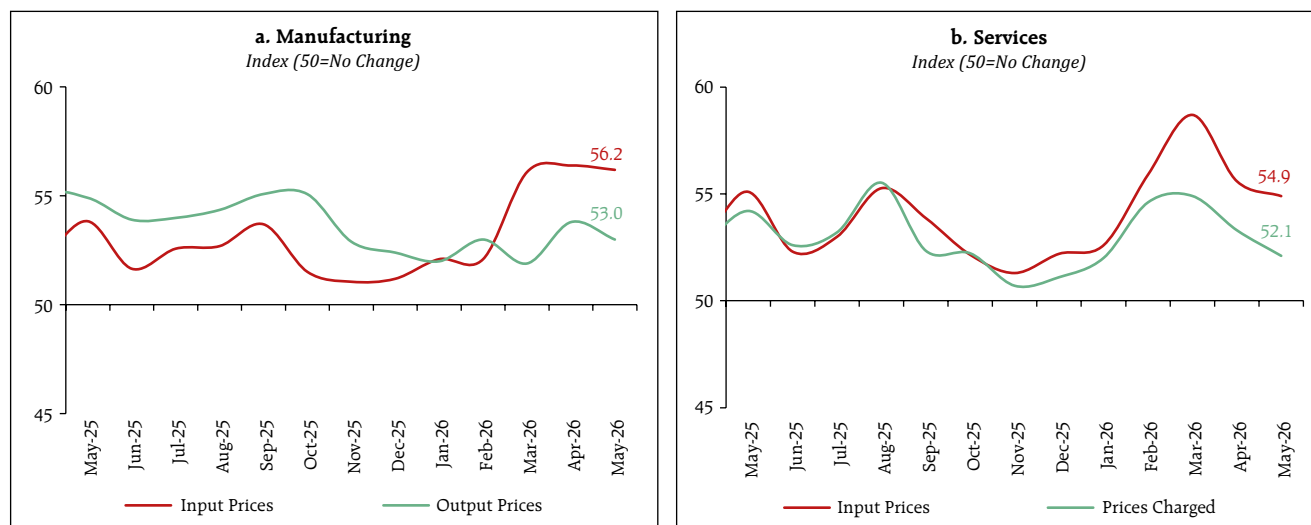
Wholesale Price Index (WPI) (base year 2022-23) inflation rose to 9.7 per cent in May 2026 from 8.3 per cent in the previous month, the highest in the new base series since April 2024. Fuel and power group inflation rose further to 30.3 per cent in May 2026. Manufactured products, with its higher weight, has contributed highest to the total inflation. The industrial⁴⁹ and farm input⁵⁰ cost inflation too climbed up to 16.7 per cent and 8.9 per cent in May 2026, respectively, from deflationary territory in February.

On June 15, 2026, the Office of Economic Adviser, Department for Promotion of Industry and Internal Trade released the new series (base year 2022-23) of

⁴⁸ "Indian households continue to pay among the lowest cooking gas prices in the world" PIB Release, June 07, 2026 ([Link](#)).

⁴⁹ Comprises primary non-food articles, minerals, coal, aviation turbine fuel, high speed diesel, naphtha, bitumen, furnace oil, lube oil, petroleum coke, electricity, cotton yarn and paper & pulp from WPI.

⁵⁰ Comprises high-speed diesel, fodder, electricity, fertilisers, pesticides and agricultural & forestry machinery from WPI.

Chart III.16: Input and Output Prices Eased in May 2026

Note: A level of 50 corresponds to no change in activity, and a reading above 50 denotes expansion and vice versa.

Source: S&P.

the Output Producer Price Index (OPPI), a trial Input Producer Price Index (IPPI), and a Service Producer Price Index (SPPI) covering seven services.⁵¹ Output PPI inflation increased to 9.4 per cent (y-o-y) in May from 8.1 per cent in April (base year 2022-23), primarily driven by 'manufactured products' and 'agriculture, forestry and fishing'.

The PMI for input prices for Indian manufacturing firms in May remained broadly stable but at elevated level reflecting high cost of energy, fuel, raw materials and transportation. Despite heightened cost pressures, the rate of expansion of output price PMI for manufacturing firms moderated in May, suggesting a potential squeeze in profit margins.⁵² In the services sector, the PMI for both output and input prices moderated sequentially while remaining in the expansionary zone (Chart III.16).

⁵¹ The indices are based on 2022-23 weights derived from the Supply and Use Tables of the National Accounts. OPPI weights are based on the Supply Table, while trial IPPI weights are based on the Use Table. OPPI and SPPI are compiled at basic prices, excluding net taxes and trade and transport margins. In contrast, the trial IPPI is compiled at purchasers' prices, reflecting the prices paid by industries for inputs.

⁵² "HSBC India Manufacturing PMI" News Release, June 01, 2026. ([Link](#))

IV. Financial Conditions

Surplus liquidity conditions⁵³ moderated in May amidst continued rise in currency in circulation, Reserve Bank's forex operations and buildup of government cash balances.⁵⁴ The Reserve Bank undertook steps to infuse both durable and transient liquidity.⁵⁵ The surplus liquidity further moderated in June (up to 18th).⁵⁶ The use of standing deposit facility declined in June (Chart IV.1).⁵⁷ Going ahead, the drawdown of government cash balances is expected to augment system liquidity following the Reserve Bank's surplus transfer.⁵⁸

⁵³ As measured by the average net absorption under the liquidity adjustment facility (LAF).

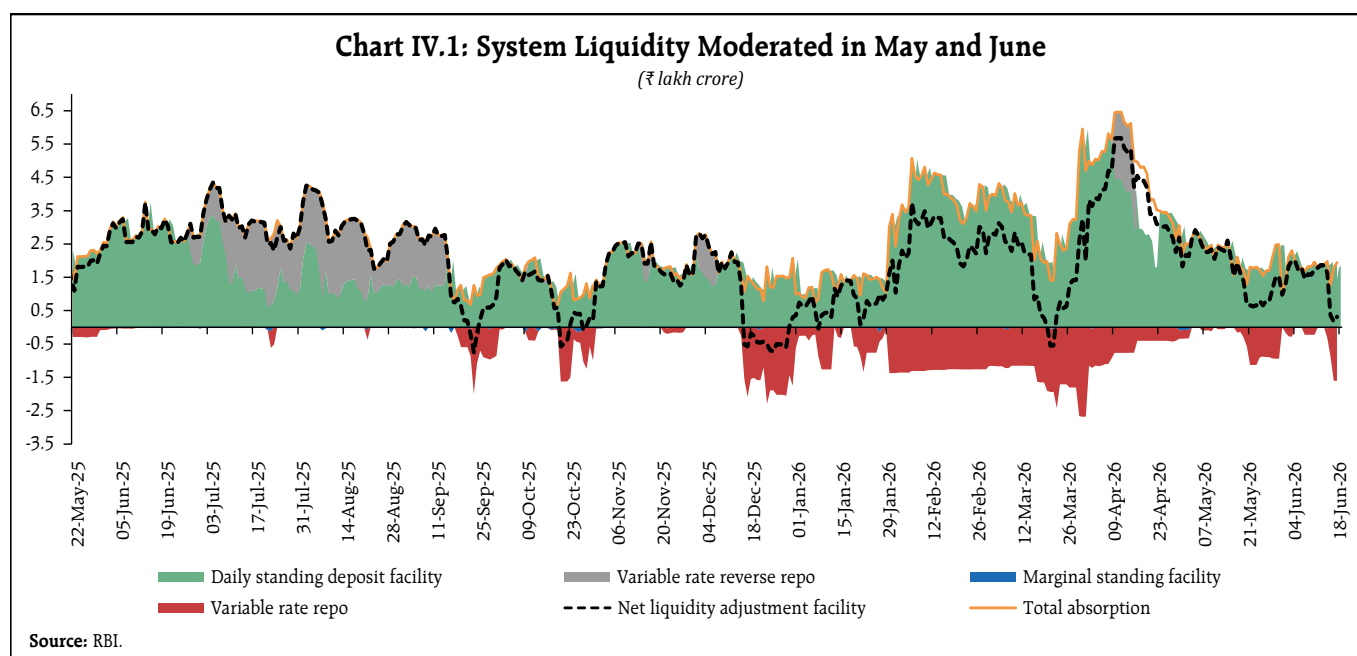
⁵⁴ Overall, daily average net absorption under the LAF decreased to ₹1.72 lakh crore during May from ₹3.94 lakh crore in April.

⁵⁵ During May, the Reserve Bank conducted one USD/INR buy/sell swap auction of USD 5 billion and 8 variable-rate repo (VRR) auctions of varying maturity (overnight to 7-day), with bids amounting to ₹3.41 lakh crore against the notified amount of ₹8.5 lakh crore.

⁵⁶ Overall, average daily net absorption under the LAF decreased to ₹1.42 lakh crore during June (up to 18th) from ₹1.72 lakh crore in May. In June 2026, the Reserve Bank conducted seven fine-tuning VRR auctions with maturities varying from overnight-7 days, with bids amounting to ₹2.42 lakh crore against the notified amount of ₹5.25 lakh crore.

⁵⁷ Average balances under the standing deposit facility declined to ₹1.77 lakh crore during June (up to 18th) from ₹2.1 lakh crore in May.

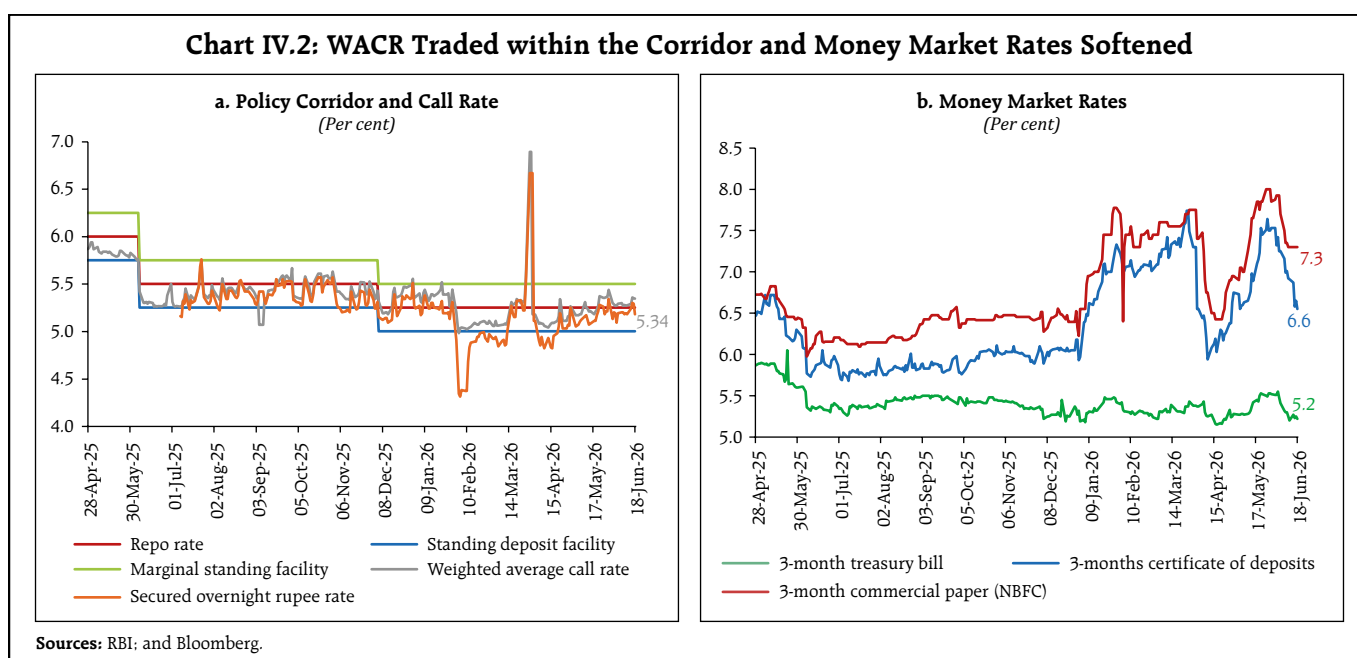
⁵⁸ Governor's Statement: June 05, 2026.



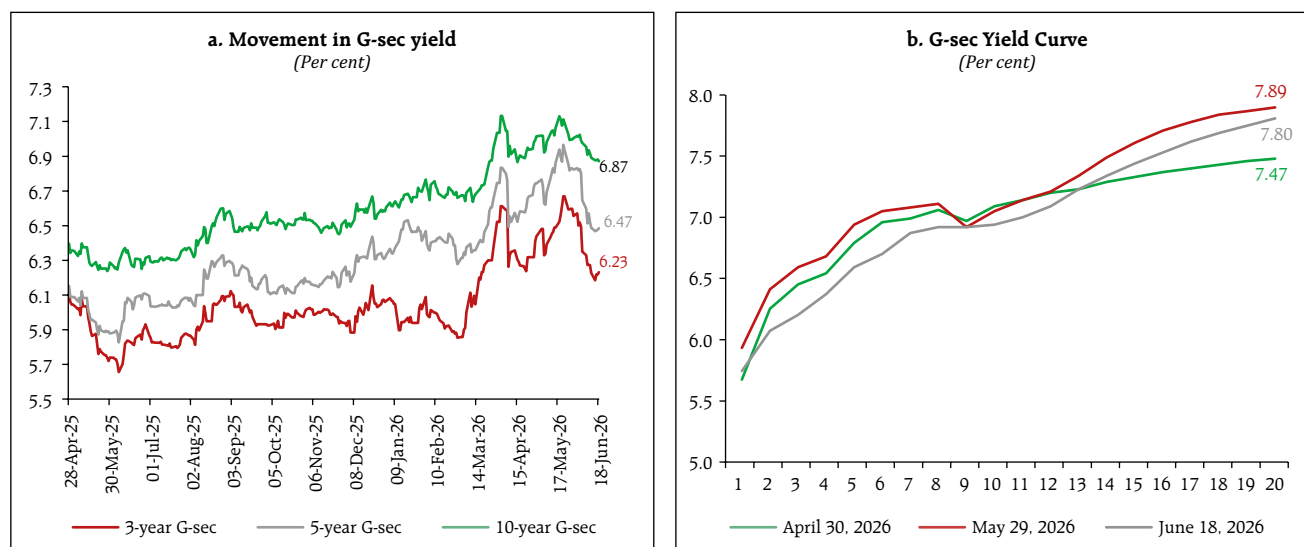
Money Market

The WACR hovered around the policy rate in May 2026. With moderation in surplus liquidity in late May and June (up to 18th), the WACR inched up and remained in the upper half of the policy corridor (Chart IV.2a).⁵⁹ Overnight rates in the collateralised

segments, as measured by the secured overnight rupee rate, generally moved in tandem with the WACR. The average yields on treasury bills hardened during May but eased in June (up to 18th). The yields on CPs and CDs firmed up in May amidst higher demand for funds, though they moderated in June (up to 18th)



⁵⁹ On an average, the WACR edged up to 5.25 per cent during May and 5.30 per cent in June (up to June 18th), from 5.13 per cent during April.

Chart IV.3: G-sec Yields Softened after Government and RBI's Measures

Sources: Bloomberg; and Financial Benchmarks India Pvt. Ltd.

with availability of funds from cheaper alternative avenues (Chart IV.2b).⁶⁰ The spread between yield on the 3-month CP and 91-day treasury bill widened.⁶¹

Government Securities Market

The government security (G-sec) yields reflected global developments (Chart IV.3a). After easing in April, the yields firmed up in May as negotiations stalled in West Asia. G-sec yields have, however, softened after the Government and the Reserve Bank took measures to attract foreign capital. The recent announcement of the peace deal in West Asia also had a moderating impact (Chart IV.3b).⁶²

⁶⁰ The average yields on 91-day treasury bills hardened to 5.40 per cent in May and eased to 5.34 per cent in June (up to June 18th). Average yields on the 3-month commercial papers issued by NBFCs and the interest rate on 3-month certificates of deposit decreased by 4 basis points (bps) and 3 bps, respectively during June (up to 18th), as compared to May.

⁶¹ Increased from an average of 217 bps in May to 219 bps in June (up to 18th).

⁶² The yield on the 10-year G-sec moved in the range of 6.92 per cent to 7.13 per cent in May. As on June 18, the yield stood at 6.87 per cent. On June 05, the Government announced that foreign portfolio investors (FPIs) would be exempted from long-term capital gains and withholding taxes on interest from G-Secs. The Reserve Bank announced expansion of the universe of 'specified securities' by including all new issuances of 15, 30 and 40-year tenor G-secs under the Fully Accessible Route (FAR). In addition, limits pertaining to short-term investment, concentration and individual securities on FPI investment under the General Route have also been removed.

Corporate Bond Market

Corporate bond yields moderated across tenors and rating spectrums in June (on 18th) over May (on 29th), tracking government bond yields, while the spreads edged up⁶³ (Table IV.1). New corporate bond issuances decreased in April 2026 over the previous month.⁶⁴

Money and Credit

During May 2026, reserve money (adjusted for cash reserve ratio) growth declined marginally, though currency in circulation maintained its double-digit growth, seen since December 2025.⁶⁵ The money supply growth also remained elevated (Chart IV.4).⁶⁶ The acceleration in credit growth and flat deposit growth in scheduled commercial banks (SCBs) led to

⁶³ Except for the AAA (1-year) corporate bond.

⁶⁴ As per data by Securities and Exchange Board of India, issuances decreased to ₹0.35 lakh crore in April from ₹1.07 lakh crore in March.

⁶⁵ Growth in reserve money (adjusted for the first-round impact of changes in the cash reserve ratio) stood at 11.0 per cent (y-o-y) as on May 31, 2026, as compared with 11.2 per cent (y-o-y) as on April 30, 2026. Growth in currency in circulation stood at 12.1 per cent (y-o-y) as on May 31, 2026, higher than 11.6 per cent (y-o-y) as on April 30, 2026 [10.2 per cent (y-o-y) as on December 31, 2025].

⁶⁶ Money supply grew by 12 per cent (y-o-y) as on May 31, 2026, the same as that on April 30, 2026.

Table IV.1: Corporate Bond Yields Moderated

Instrument	Interest Rates (Per cent)			Spread (Over corresponding risk-free rate, bps)		
	May 29, 2026	June 18, 2026	Variation (bps)	May 29, 2026	June 18, 2026	Variation
1	2	3	(4 = 3-2)	5	6	(7 = 6-5)
(i) AAA (1-year)	7.89	7.54	-35	189	173	-16
(ii) AAA (3-year)	7.75	7.52	-23	109	125	16
(iii) AAA (5-year)	7.76	7.43	-33	77	79	2
(iv) AA (3-year)	8.58	8.29	-29	192	202	10
(v) BBB minus (3-year)	12.19	11.90	-29	553	563	10

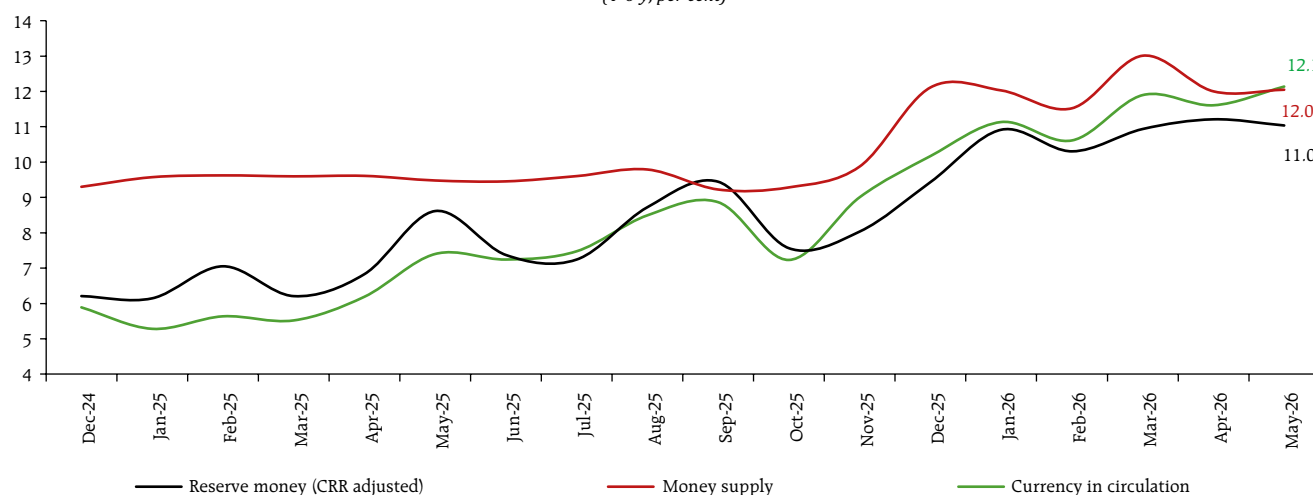
Source: Fixed Income Money Market and Derivatives Association of India.

widening of the wedge between credit and deposit growth in May (Chart IV.5).⁶⁷

During 2026-27 so far (up to May 31), the total flow of financial resources to the commercial sector increased, driven by a pickup in non-food bank credit and rise in foreign direct investment to

India⁶⁸ (Table IV.2a). Non-food bank credit growth stood higher than the previous year (as on May 31), leading to higher total outstanding credit (Table IV.2b).

Bank credit continued to record double digit growth across major sectors in April 2026.⁶⁹ Strong industrial

Chart IV.4: Sustained Expansion in Reserve Money and Money Supply (M₃)
(Y-o-y, per cent)

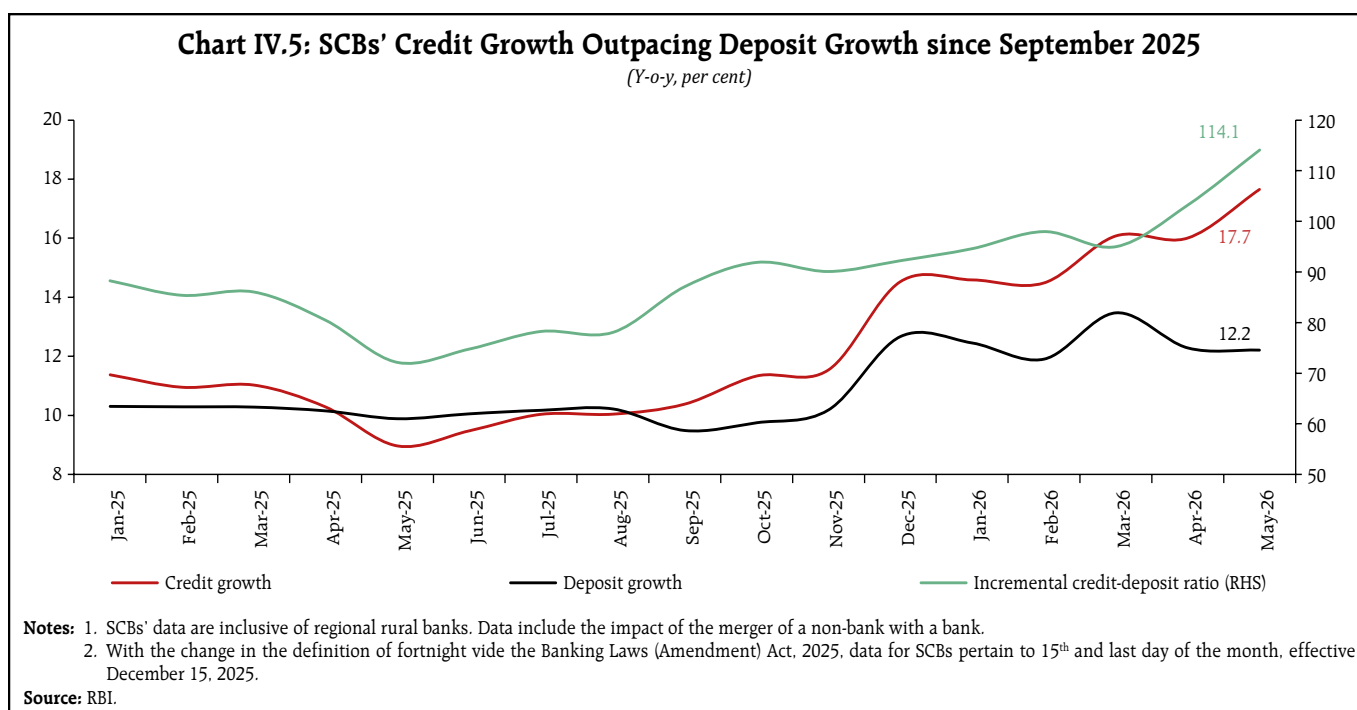
Note: With the change in the definition of fortnight vide the Banking Laws (Amendment) Act, 2025, data for reserve money and money supply pertain to 15th and last day of the month, effective December 15, 2025.

Source: RBI.

⁶⁷ SCBs' credit and deposit growth stood at 17.7 per cent (y-o-y) and 12.2 per cent, respectively, as on May 31, 2026, compared to 16.0 per cent (y-o-y) and 12.3 per cent, respectively, as on April 30, 2026.

⁶⁸ Foreign direct investment to India is on a net basis (i.e., gross inflows adjusted for repatriation/ disinvestment).

⁶⁹ Provisional data. Data on sectoral deployment of bank credit is based on sector-wise and industry-wise bank credit (SIBC) return, which covers 41 select banks accounting for about 95 per cent of total non-food credit extended by all scheduled commercial banks (SCBs). With effect from December 31, 2025, the definition of last reporting fortnight has been changed to the last day of the month under the Banking Laws (Amendment) Act, 2025. Accordingly, the y-o-y growth rates from December 2025 onwards are based on end-of-month data for the current year and data for the last reporting fortnight (as per old definition) for the corresponding month of the previous year. Non-food credit growth is calculated based on fortnightly Section-42 return which covers all SCBs.



credit growth is attributed to sustained credit growth in MSMEs and pick up in credit to large industries. Credit flow to the services sectors remained buoyant driven by bank lending to non-banking financial companies (NBFCs), trade and commercial real estate. Within personal loans, credit to housing, vehicle and gold loans displayed steady growth (Chart IV.6).

Table IV.2a: Flow of Financial Resources to Commercial Sector in India

(₹ lakh crore)

Source	April-March		Up to May 31	
	2024-25	2025-26	2025-26	2026-27
A. Non-Food Bank Credit	18.08	29.19	-1.55	0.88
B. Non-Bank Sources (B1+B2)	18.15	17.69	1.90	1.94
B1. Domestic Sources	14.91	12.66	1.27	0.80
B2. Foreign Sources	3.25	5.03	0.63	1.14
C. Total Flow of Resources (A+B)	36.23	46.88	0.35	2.82

Notes: 1. Figures in the columns might not add up to the total due to rounding off of numbers.
2. For detailed notes and data, please refer to Current Statistics Table No: 18(a).

Sources: RBI; SEBI (Securities and Exchange Board of India); AIFIs (All India Financial Institutions); and RBI staff calculations.

Deposit and Lending Rates

Transmission of the past policy rate reductions to the credit market moderated during March-April 2026,

Table IV.2b: Outstanding Credit to the Commercial Sector
(₹ lakh crore; Figures in parentheses are y-o-y changes in per cent)

Source	At End-March		As on May 31	
	2025	2026	2025	2026 P
A. Non-Food Bank Credit	183.72 (10.9)	212.91 (15.9)	182.17 (8.8)	213.79 (17.4)
B. Non-Bank Sources (B1+B2)	88.86 (14.6)	101.59 (14.3)	89.99 (15.2)	102.24 (13.6)
B1. Domestic Sources	66.37 (17.3)	75.11 (13.2)	67.23 (17.7)	75.80 (12.8)
B2. Foreign Sources	22.49 (7.2)	26.48 (17.7)	22.76 (8.3)	26.45 (16.2)
C. Total Credit (A+B)	272.58 (12.1)	314.50 (15.4)	272.16 (10.8)	316.04 (16.1)

P: Provisional.

Notes: 1. Figures in the columns might not add up to the total due to rounding off of numbers.
2. Data on non-bank sources excludes issuances of equities and hybrid instruments under domestic sources and foreign direct investment in equities under foreign sources.
3. Flows based on outstanding data may not tally with the flows provided in Table IV.2a due to:
(a) Conversion of some housing finance companies into non-banking financial companies; and
(b) Valuation effect in case of foreign sources.
4. For detailed notes and data, please refer to Current Statistics Table No: 18(b).

Sources: RBI; SEBI; AIFIs; and RBI staff calculations.

Chart IV.6: Sectoral Deployment of Bank Credit

(Y-o-y, per cent)



Source: RBI.

with some hardening observed in deposit and lending rates⁷⁰ (Table IV.3). Transmission to the lending rates on fresh and outstanding loans has remained uneven across sectors (Chart IV.7). During the current easing

cycle (February 2025–April 2026), the pass-through to lending rates was more pronounced in private sector banks, while public sector banks exhibited relatively stronger transmission to deposit rates (Chart IV.8).

Table IV.3: Transmission to Banks' Deposit and Lending Rates

(Basis points)

Period	Repo Rate	Term Deposit Rates		Lending Rates				
		WADTDR-Fresh Deposits	WADTDR-Outstanding Deposits	EBLR	1-Year MCLR (Median)	WALR - Fresh Rupee Loans		WALR-Outstanding Rupee Loans
						Overall	Interest Rate Effect [#]	
(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)
Tightening Cycle May 2022 to Jan 2025	250	259	206	250	175	182	191	115
Easing Cycle Feb 2025 to Apr 2026	-125	-85	-50	-125	-45	-83	-83	-89

[#]: Calculated at January 2025 weights.

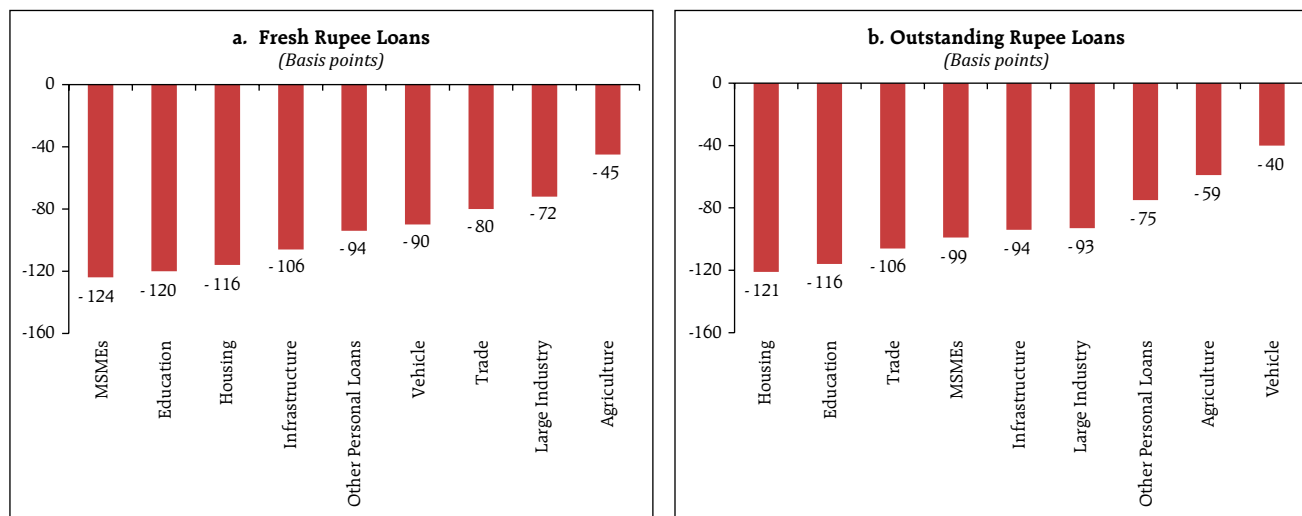
WALR: Weighted average lending rate; WADTDR: Weighted average domestic term deposit rate;

MCLR: Marginal cost of funds-based lending rate; EBLR: External benchmark-based lending rate.

Note: Data on EBLR pertain to 32 domestic banks.

Source: RBI.

⁷⁰ Governor's Statement: June 05, 2026.

Chart IV.7: Transmission across Select Sectors (February 2025 – April 2026)

Note: Transmission during February 2025 to April 2026 is calculated by subtracting the weighted average lending rates of January 2025 from those of April 2026.
Source: RBI.

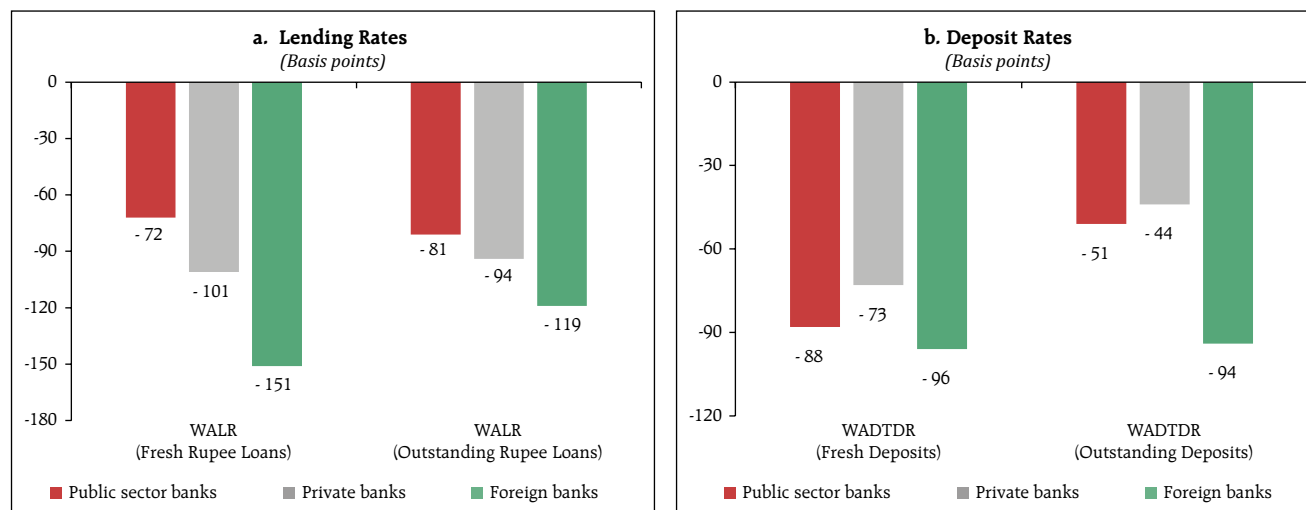
Equity Markets

Indian equity markets recorded decline in May and early June amidst uncertainty surrounding the US-Iran peace agreement, elevated crude oil prices, and the IMD's forecast of below normal monsoon. However, markets recovered in mid-June supported

by positive developments surrounding the US-Iran peace talks and moderation in crude oil prices (Chart IV.9).⁷¹

External Sources of Finance

During April 2026, net FDI remained above its corresponding level during the previous year, supported

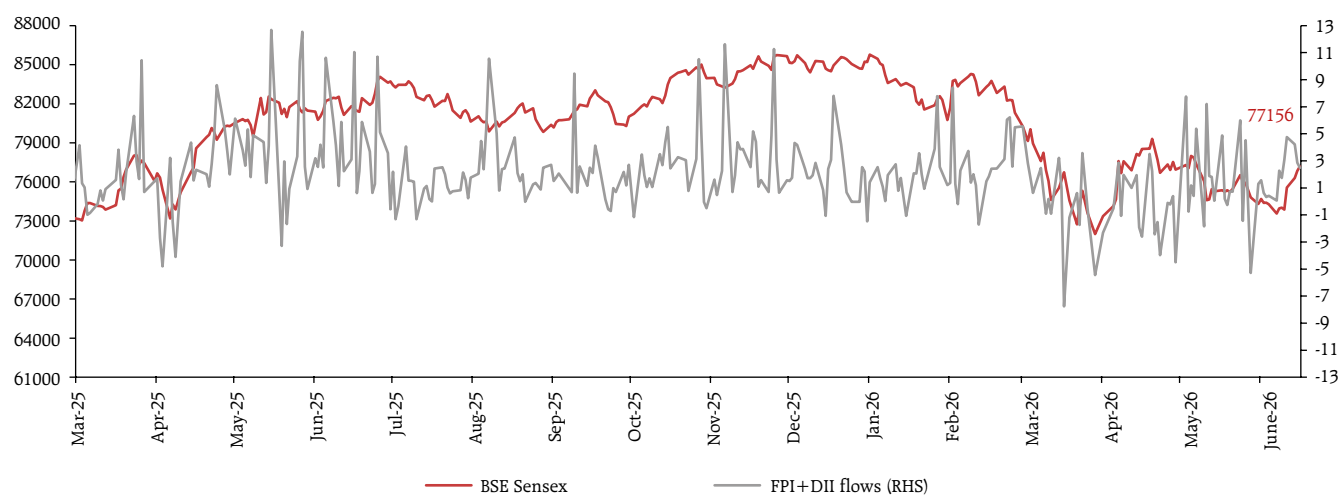
Chart IV.8: Transmission across Bank Groups (February 2025 – April 2026)

Note: Transmission during February 2025 to April 2026 is calculated by subtracting the weighted-average lending and deposit rates for January 2025 from those for April 2026.

Source: RBI.

⁷¹ The India VIX decreased from 18.5 at end-April 2026 to 16.2 at end-May, and 12.7 on June 18, 2026.

Chart IV.9: Domestic Equity Markets Declined during May and Early June
(Index, left scale; ₹ thousand crore, right scale)

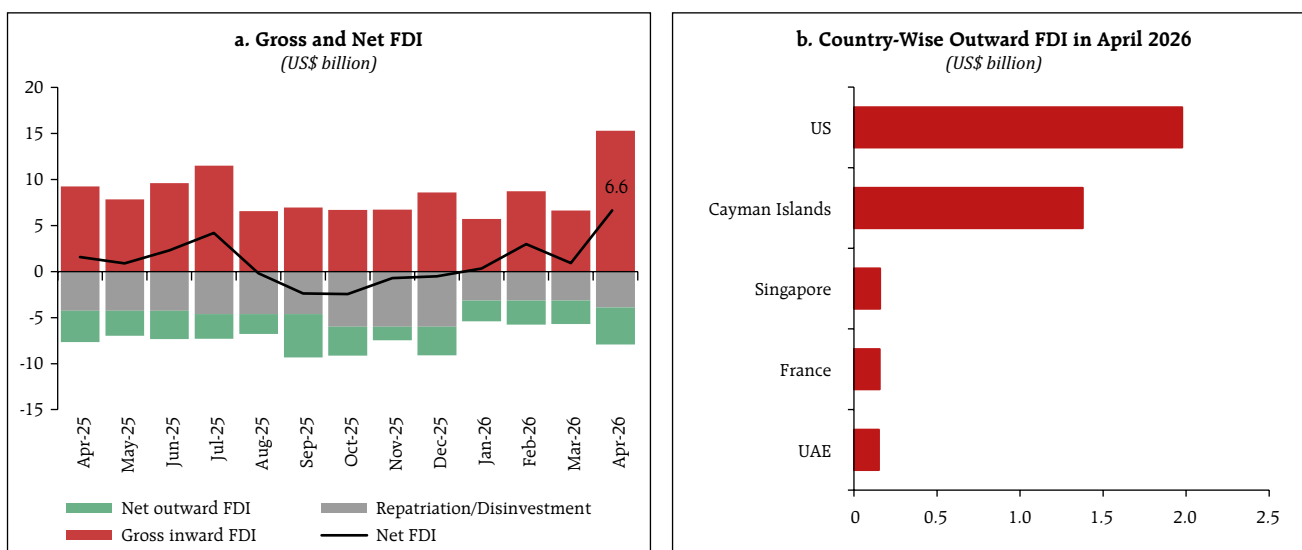


Note: DII: Domestic Institutional Investors; FPI: Foreign Portfolio Investors.
Source: Bloomberg.

by higher gross inflows and lower repatriation (Chart IV.10a).⁷² Financial services received the largest equity inflows, followed by retail and wholesale trade, manufacturing and computer services, with these four sectors accounting for more than 80 percent of the total inflows. Source wise, more than 75 per cent of the FDI

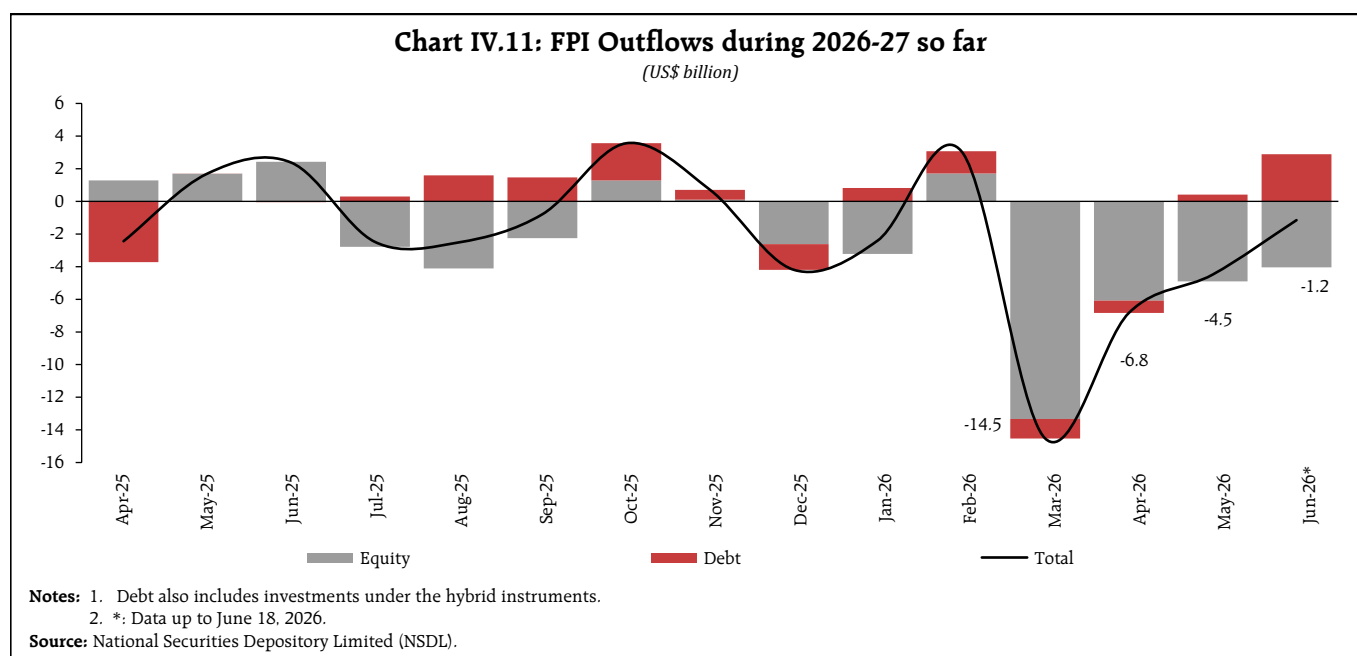
flows came from Japan, Singapore and Mauritius. As regards outward FDI, around 80 per cent of the flows were directed to the US and the Cayman Islands (Chart IV.10b). Financial, insurance and business services, and manufacturing sector accounted for more than 90 per cent of the outward flows.

Chart IV.10: Higher Foreign Direct Investment Inflows in April



Source: RBI.

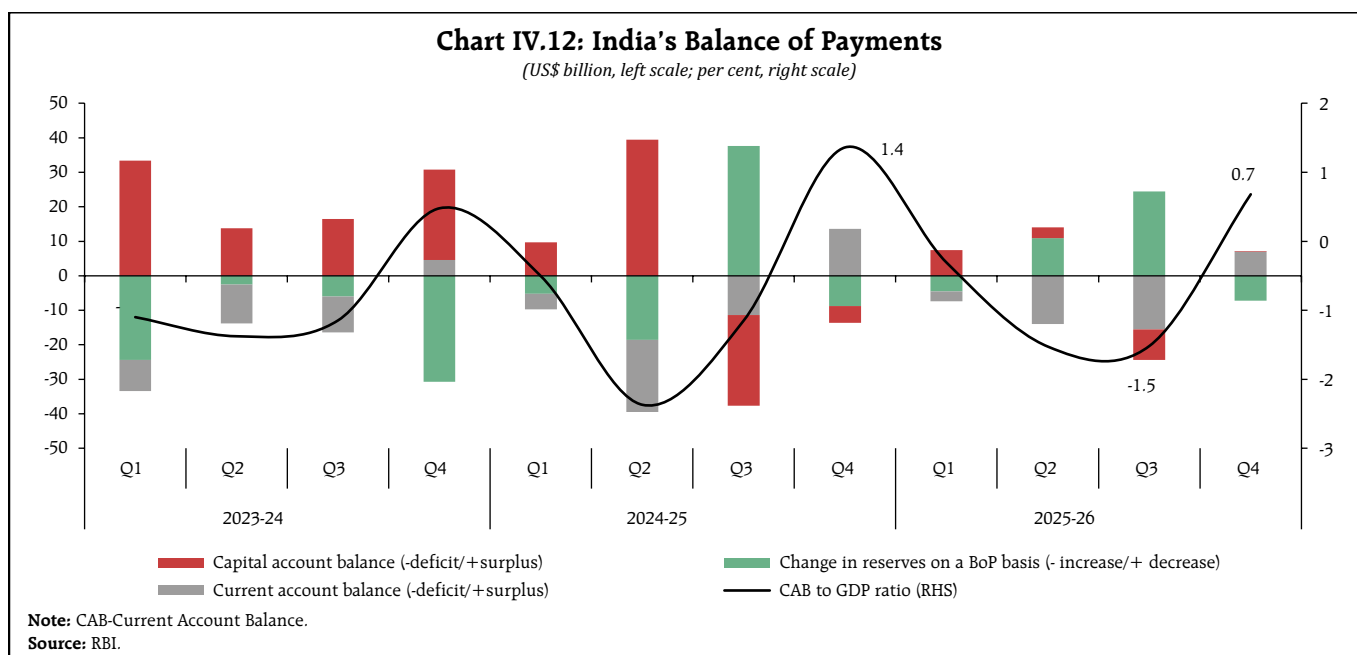
⁷² In April 2026, net FDI stood at US\$ 6.6 billion as compared to US\$ 1.6 billion in April 2025. Similarly, gross inward FDI stood at US\$ 15.3 billion higher than US\$ 9.3 billion a year ago.



During 2026–27 (up to June 18), net FPI continued to register outflows, although the pace moderated (Chart IV.11).⁷³ Net FPI flows have turned largely positive since the second week of June, likely driven by the supportive policy measures undertaken by the

Reserve Bank and the Government along with easing of West Asia tensions.⁷⁴

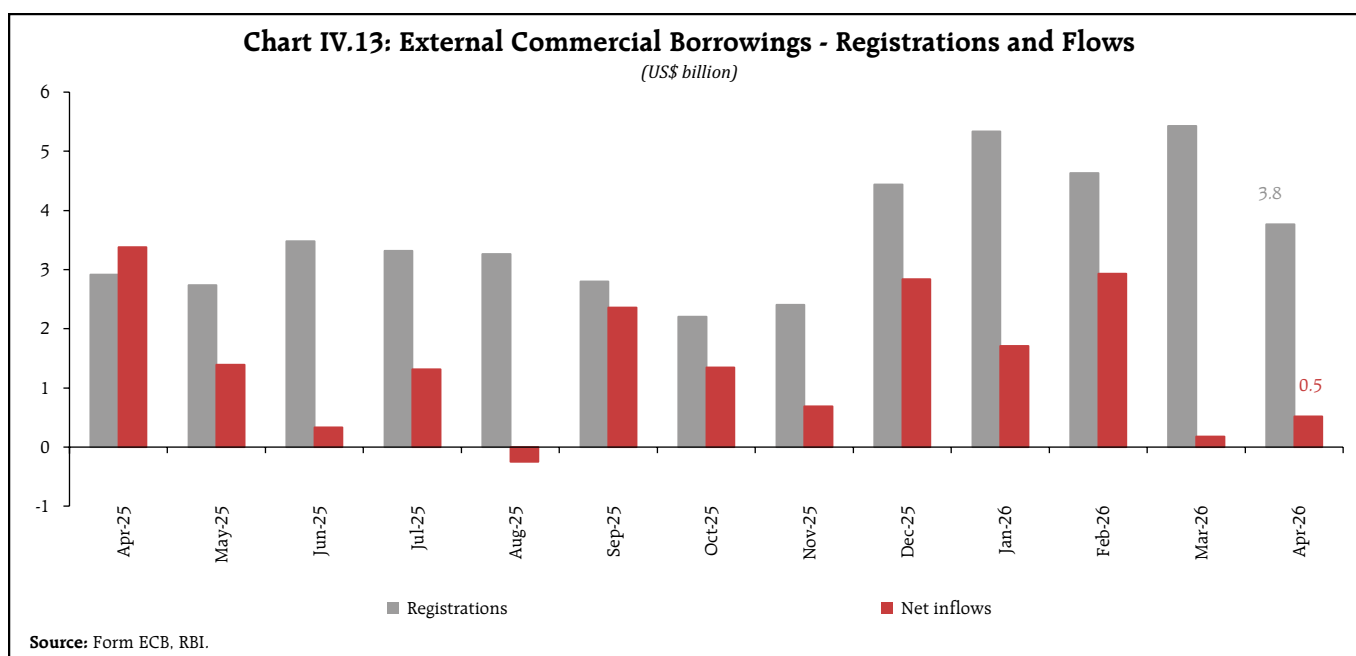
In Q4:2025-26, India's current account registered a surplus of US\$ 7.1 billion, owing to higher net services receipts and robust inward remittances (Chart IV.12).⁷⁵



⁷³ During 2026-27 so far (up to June 18, 2026), FPI registered net outflows to the tune of US\$ 12.5 billion, driven largely by withdrawals from the equity segment.

⁷⁴ "In a major reform, Government announces measures to deepen G-Sec market and facilitate greater Foreign Portfolio Investment (FPI) in equity segment", PIB Release, June 05, 2026 ([Link](#)).

⁷⁵ In Q4:2024-25, current account surplus of US\$ 13.7 billion was recorded.



For the full year 2025-26, the current account deficit increased marginally as compared to the previous year.⁷⁶ Net capital inflows fell short of financing the current account deficit as net FDI inflows were offset by higher FPI outflows. This led to a depletion of US\$ 23.6 billion of foreign exchange reserves (on a balance of payment basis) in 2025-26.

External commercial borrowings (ECB) registrations increased in April 2026 as compared to the corresponding period of previous year, reflecting an improvement in offshore fund-raising activity.⁷⁷ Net ECB inflows in April rose sequentially but remained significantly lower than the corresponding period last year (Chart IV.13).⁷⁸ Around 24 per cent of the ECBs registered in April were intended for capital expenditure.

India's foreign exchange reserves remained comfortable, providing cover for goods imports of

⁷⁶ During 2025-26, current account deficit was at US\$ 25.2 billion (0.6 per cent of GDP) as compared to US\$ 22.9 billion (0.6 per cent of GDP) during 2024-25.

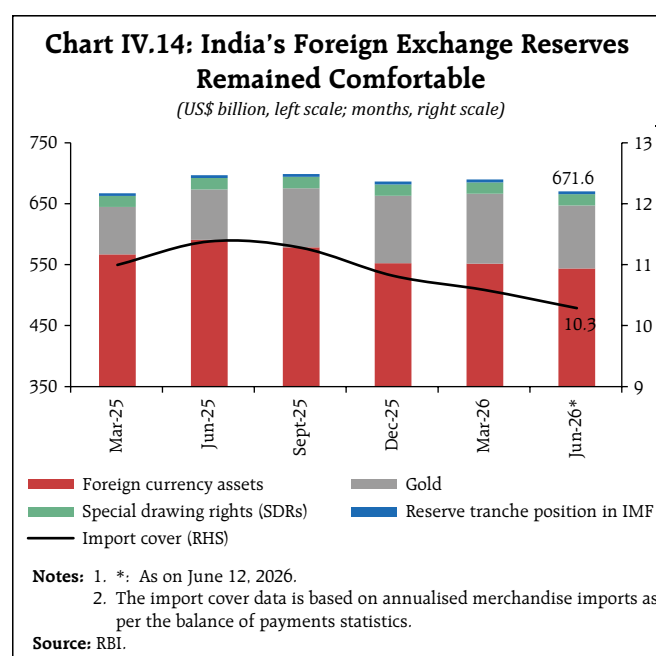
⁷⁷ ECB registrations increased to US\$ 3.8 billion in April 2026 from US\$ 2.9 billion in April 2025. It was lower than US\$ 5.4 billion in March 2026.

⁷⁸ Net ECB inflows rose to US\$ 0.5 billion in April 2026 from US\$ 0.2 billion in March 2026, but was lower than US\$ 3.4 billion in April 2025.

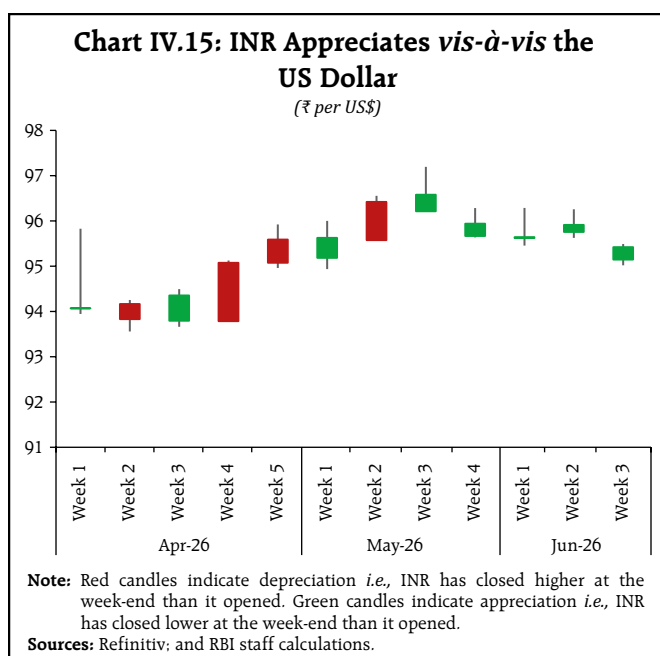
more than 10 months⁷⁹ and 87.7 per cent of the external debt outstanding as at end-December 2025 (Chart IV.14).

Foreign Exchange Market

The Indian rupee (INR) remained under pressure in May amidst protracted geopolitical tensions and continued foreign portfolio outflows. However,



⁷⁹ As on June 12, 2026, the import cover for goods and services was around 8.2 months.

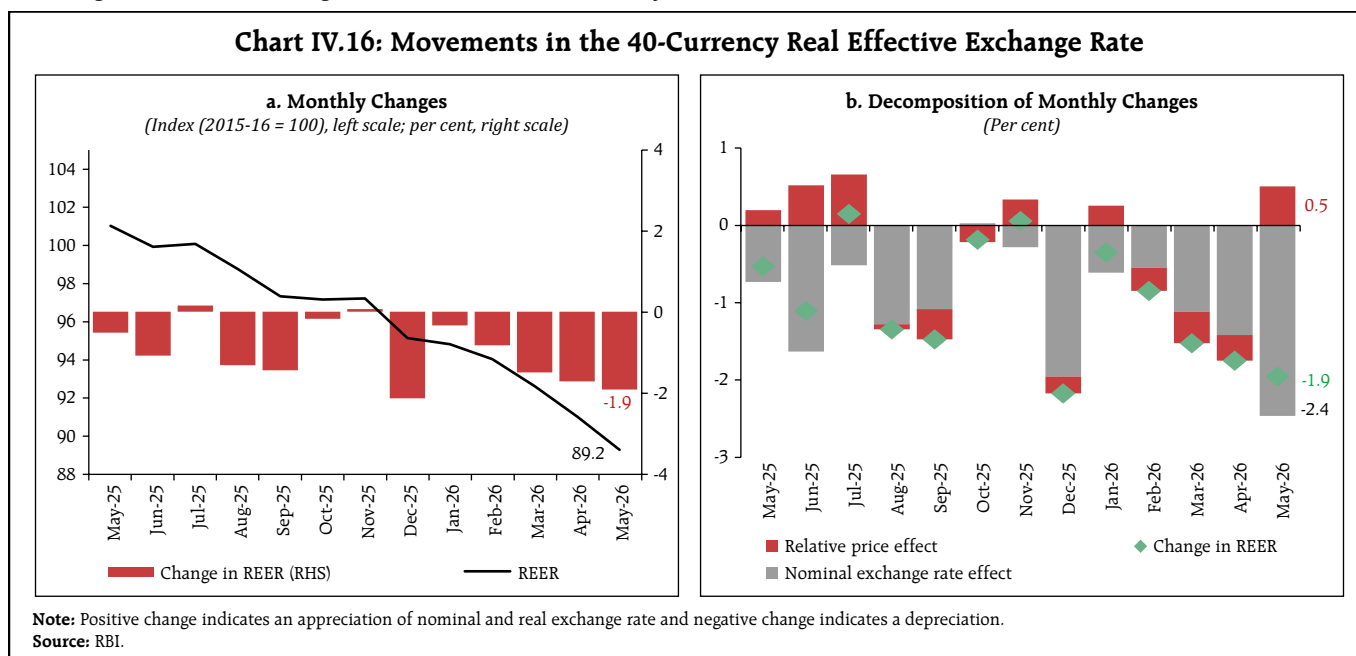


INR recovered in June 2026, owing to capital flow measures, easing geopolitical tensions and falling crude oil prices.⁸⁰ During 2026-27 so far (up to June 19), INR appreciated by 0.2 per cent over end-March 2026 (Chart IV.15). In real effective terms, the Indian rupee depreciated in May, driven by pronounced depreciation of INR in nominal effective terms, which outweighed the offsetting effect of India's relatively

higher inflation vis-à-vis its major trading partners (Chart IV.16).

V. Conclusion

The global economic landscape remains fragile despite some respite gained through the interim US-Iran peace agreement. Any breakdown of the agreement may reignite material risks in terms of inflationary expectations, disrupted critical energy infrastructure, delayed investment spending, food security concerns, adverse financial stability outlook and structurally lower growth. The uncertainties could have impact on the outlook through international trade, cost pressures, capital flows and commodity prices. The Indian economy entered this turbulence with much better fundamentals relative to many other countries to sustain the shock. India maintained a consistently high growth, anchored inflation expectations, sustained fiscal consolidation, manageable current account balance and foreign exchange buffers over the previous few years, which adds to its strength vis-à-vis similar other events in the past. An adverse south-west monsoon, if materialised, may weigh on the domestic growth-inflation outlook.



⁸⁰ INR appreciated in June (up to 19th) by 1.0 per cent over end-May 2026.

Annex

Box 1: New Series of the Index of Industrial Production: Salient Features

The IIP data for April 2026 has been released by the National Statistics Office (NSO) with the revised base year of 2022–23 which is aligned with the new GDP series. The new series adopts the latest National Industrial Classification (NIC) 2025 classification, replacing NIC 2008, and updates sectoral weights using GVA at current prices for 2022–23 and item weights from the Annual Survey of Industries (ASI) 2022–23. The coverage of the index has been expanded with the inclusion of Gas Supply and Water Supply, Sewerage and Waste Management activities. The mining basket has been widened from 29 to 44 items, including rare earth and minor minerals. The item basket has increased from 407 to 463 items, adding products such as CCTV cameras, stents and vaccines while removing obsolete items like kerosene and Compact Fluorescent Lamps (CFLs).

The revised series assigns greater weight to technology and consumption-oriented sectors

such as motor vehicles, pharmaceuticals, and electronics, while reducing the importance of traditional sectors like mining, petroleum refining and basic metals. Under the use-based classification, the share of intermediate goods has increased, indicating more integrated manufacturing value chains (Chart 1).

While the overall trend in industrial activity remains similar, the revised headline index records stronger annual growth by incorporating emerging industries and production patterns, with better assessment of industrial structure and its transformation (Table 1).

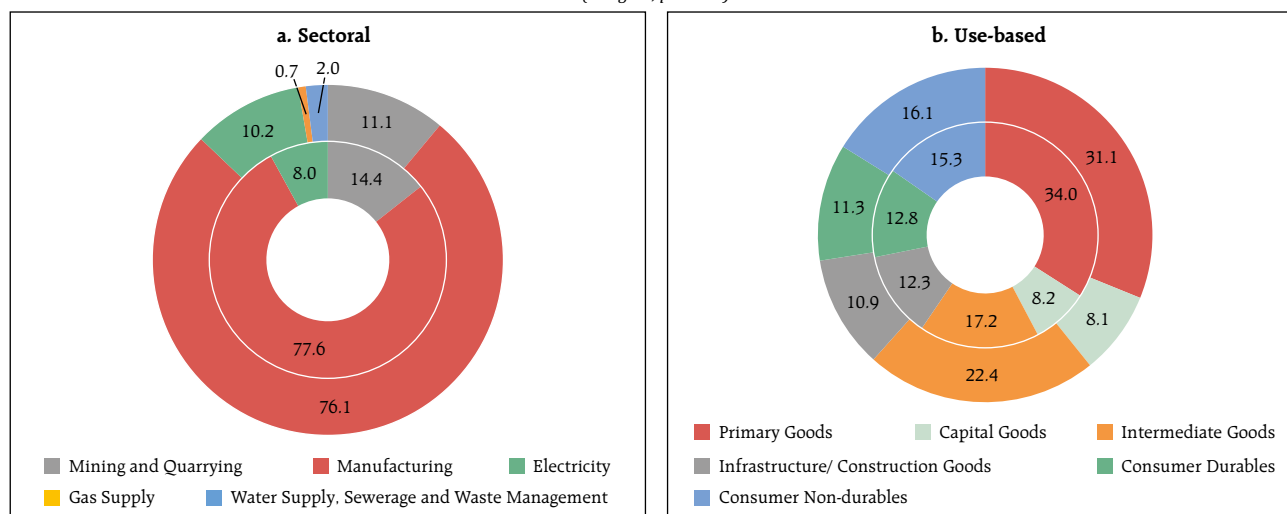
Table 1: Growth in Index of Industrial Production
- Base 2022-23 vis-à-vis Base 2011-12

(Y-o-y, per cent)

	2023-24	2024-25	2025-26
Base: 2022-23	6.7	6.4	4.3
Base: 2011-12	5.9	4.0	4.1

Chart 1: Change in Weights of IIP Components (2011-12 vs 2022-23)

(Weights, per cent)



Annex Table 1: Real GDP Growth (at 2022-23 prices)*(Y-o-y growth, per cent)*

Components	Share in 2025-26 (per cent)	Weighted Contribution (percentage points)			2024-25				2025-26				2023-24 (FE)	2024-25 (FRE)	2025-26 (PE)
		2023-24	2024-25	2025-26	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4			
I. Total Consumption Expenditure	65.8	3.4	3.9	4.9	6.3	5.8	6.2	5.3	8.2	7.1	7.6	6.8	4.9	5.9	7.4
Private	55.7	3.3	3.3	4.3	6.1	5.6	6.0	5.6	8.7	7.2	8.2	7.1	5.8	5.8	7.7
Government	10.1	0.1	0.7	0.6	7.5	7.0	7.6	3.6	5.8	6.6	4.6	4.9	0.6	6.5	5.5
II. Gross Capital Formation	34.5	3.0	2.1	2.7	5.9	7.7	6.3	4.5	4.2	6.8	8.1	11.4	8.7	6.1	7.7
Fixed Investment	32.3	2.3	2.1	2.6	6.5	6.6	6.3	6.2	4.9	8.4	8.2	10.8	7.3	6.4	8.2
III. Net Exports	-1.5	0.4	0.2	0.1	-15.5	-13.8	63.9	1.8	-10.2	14.9	-45.0	55.4	17.0	8.6	4.1
Exports	22.2	0.2	1.5	1.4	7.3	3.1	10.5	5.4	6.6	9.7	5.8	3.7	0.7	6.6	6.3
Imports	23.7	-0.3	1.3	1.4	8.3	4.6	2.9	5.5	7.0	6.0	7.2	1.9	-1.0	5.3	5.6
GDP	100.0	7.2	7.1	7.7	7.5	6.6	7.4	7.0	6.8	8.3	8.0	7.8	7.2	7.1	7.7

FE: Final Estimates; FRE: First Revised Estimates; PE: Provisional Estimates

*: Component-wise contributions to growth may not add up to GDP growth, as change in stock, valuables and discrepancies are not included.

Source: NSO.

Annex Table 2: Real GVA Growth (at 2022-23 prices)*(Y-o-y growth, per cent)*

Sectors	Share in 2025-26 (per cent)	Weighted Contribution (percentage points)			2024-25				2025-26				2023-24 (FE)	2024-25 (FRE)	2025-26 (PE)
		2023-24	2024-25	2025-26	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4			
I. Agriculture and allied activities	17.8	0.5	0.8	0.6	2.6	4.1	5.8	3.8	4.4	2.7	1.7	3.6	2.6	4.2	3.0
II. Industry	20.5	2.2	1.7	1.8	9.6	4.6	9.7	10.8	7.9	11.0	10.7	6.8	11.3	8.7	9.0
Mining and quarrying	2.1	0.1	0.2	0.1	11.9	8.3	13.1	12.9	4.5	6.1	4.7	5.4	2.4	11.7	5.2
Manufacturing	16.1	1.9	1.4	1.7	9.4	4.9	10.8	11.8	10.4	12.7	12.8	7.3	12.7	9.3	10.7
Electricity, gas, water supply and other utility services	2.3	0.3	0.1	0.0	9.2	-0.2	0.6	2.1	-2.0	3.6	1.5	4.1	10.7	2.9	1.7
III. Services	61.8	4.5	4.7	5.5	8.5	7.8	7.9	7.0	7.6	9.2	9.4	9.7	7.4	7.8	9.0
Construction	9.1	0.9	0.7	0.7	8.7	6.1	6.4	8.0	5.3	8.9	6.7	8.4	9.9	7.3	7.4
Trade, hotels, transport, communication, and services related to broadcasting	14.4	1.4	0.9	1.5	6.9	6.6	6.7	6.3	9.7	10.5	11.2	12.5	10.1	6.6	11.0
Financial, real estate and professional services	26.1	1.4	2.5	2.7	10.3	10.0	11.1	8.8	9.2	10.3	11.6	10.4	5.5	10.0	10.4
Public administration, defence and other services	12.1	0.9	0.6	0.6	6.9	6.0	4.4	3.2	4.0	5.4	4.9	5.8	6.8	5.0	5.0
IV. GVA at basic prices	100.0	7.2	7.3	7.9	7.6	6.5	7.8	7.1	7.1	8.6	8.0	7.9	7.2	7.3	7.9

FE: Final Estimates; FRE: First Revised Estimates; PE: Provisional Estimates

Sources: NSO; and RBI staff calculations.